Does Delaware Law Still Improve Firm Value?

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Abstract

Delaware law appears to no longer improve firm value. The large valuation (Tobin's q) premium benefitting Delaware firms in the 1990s disappeared in the early 2000s, coinciding with the 2002 Sarbanes–Oxley Act (SOX). Public salience of the Delaware Court of Chancery declined on a similar timeline, and Delaware firms experienced significant negative abnormal returns around SOX enactment. The premium decline is concentrated in firms with the weakest substitutes for Delaware law, consistent with SOX federalizing governance standards that were formerly stronger for Delaware firms. Finally, the recent "DExit" departures from Delaware of eighteen firms evidence no ensuing change in firm value.

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1 Introduction

Does Delaware law still improve firm value? Roughly seventy percent of US public corporations are incorporated in Delaware, a share that has risen over the past two decades (Figure 1). Historically, Delaware maintained this dominant incorporation share by offering a strong body of stable precedent and a prominent, specialized Chancery Court (Romano, 1985; Goshen, Stein, 2024). In the past, this institutional advantage translated into firm value: Delaware-incorporated firms traded at a Tobin's q premium over otherwise-comparable firms incorporated elsewhere (Daines, 2001). Yet, on January 30, 2024, amidst a public dispute with the Delaware Court of Chancery, Tesla CEO Elon Musk posted: "Never incorporate your company in the state of Delaware" (Musk, 2024). Since then, seventeen US public companies (including Tesla and Dropbox) have announced or completed reincorporations away from the state. Collectively, these "DExit" firms represent more than $889 billion in market capitalization, with practitioner and academic commentary suggesting that additional public firms are considering similar moves (Khoo, Tallarita, 2025; Kahan, Rock, 2025). The traction of the DExit movement, together with substantial changes to the corporate governance environment in the past quarter century, suggests that the relative value of Delaware law may have changed since Daines (2001). In this paper, I show that Delaware firms no longer benefit from a valuation premium, and provide evidence that this change is largely driven by the federalization of corporate law under the Sarbanes–Oxley Act (SOX) of 2002.

Following Daines (2001), I estimate the Delaware premium over the 1981–1996 period by regressing Tobin's q onto a Delaware-incorporation indicator variable and a set of controls. I estimate a Delaware coefficient of +0.079, broadly consistent with Daines (2001)'s published estimate of +0.07 and implying approximately a 5–6% premium in market capitalization for the median firm. Expanding this panel to the present day reveals a striking pattern: the Delaware premium peaked in the late 1990s, declined sharply in the early 2000s, and has been near-zero ever since. These results continue to hold after accounting for intangible-capital, following Peters and Taylor (2017). Daines (2001) also found that Delaware firms were significantly more likely to receive takeover bids and to be acquired, and interpreted this as evidence that Delaware law facilitated merger activity. I show that this advantage too has eroded: Delaware firms' relative propensity to make acquisitions and attract bids declined materially after 2002, mirroring the fall in the valuation premium.

In 2002, the Sarbanes–Oxley Act imposed comprehensive federal disclosure, internal-control, and audit-committee requirements on US public companies (Coates, Srinivasan, 2014; Romano, 2005). If this federal floor substitutes for protections that Delaware corporate law had previously supplied, the Delaware Court of Chancery, the central institution responsible for applying and refining Delaware corporate law, should experience a decline in prominence in the post-SOX period. To test this hypothesis, I introduce two proxies for the Court's salience over time. Google Books Ngram captures the appearance of the phrase "Delaware Court of Chancery" in legal and academic writing, whereas Google Trends captures public attention via search behavior. Both measures show a broad decline which intensifies after SOX and generally tracks the erosion of the Delaware premium. These patterns suggest that Delaware corporate law declined in relative importance after SOX and motivate a more granular approach to identify SOX's contribution to the decline in the Delaware premium.

To that end, I conduct an event study around several dates relevant to SOX's enactment. If SOX effectively federalized governance provisions that were previously a benefit of incorporation in Delaware, then Delaware firms should underperform around the key events that made this substantial federal reform more likely. Following the late-2001 disclosure of accounting fraud at Enron, discussion intensified around then-controversial legislation to federalize a number of corporate governance provisions. A comparatively muted version of this legislation passed the House of Representatives on April 24, 2002. However, the sequence of events that made strengthened legislation a reality unfolded over roughly five weeks, beginning with WorldCom's disclosure of a $3.8 billion accounting fraud on June 25, 2002 and ending with President George W. Bush signing the Sarbanes–Oxley Act into law on July 30 (the Senate having passed it 97–0 on July 15). Over this period, sweeping federal governance reforms went from politically uncertain to enacted law (Hamburger et al., 2002; Chhaochharia, Grinstein, 2007). Because the probability of SOX's enactment changed dramatically over a matter of weeks rather than years, this episode provides a useful setting to test whether the timing of the Delaware premium's erosion can be tied to the progression of the legislation itself.

Over the five weeks between the WorldCom disclosure and SOX's signing into law, Delaware firms experienced cumulative abnormal returns of −1.72 percentage points and continued to underperform through October 2002, before stabilizing near −3.82 percentage points through the end of the year. Compared to the five percent market capitalization premium estimated by Daines (2001), this difference in returns indicates that the bulk of the Delaware premium was eliminated in the lead-up and immediate aftermath of SOX's passage. That Delaware firms underperformed precisely when stringent federal legislation went from unlikely to signed law is difficult to reconcile with non-SOX confounding explanations. By contrast, neither the Enron disclosure nor the House passage of the weaker Oxley bill produced any divergence between Delaware and non-Delaware firms, suggesting that investors responded specifically to the prospect of a far-reaching federal governance regime, consistent with the timing of effects reported by Li et al. (2008) and Jain and Rezaee (2006).

Next I examine the heterogeneity of the Delaware premium's decline across firms. If SOX installed a federal governance floor that substituted for the value-add of Delaware's legal environment, then firms with weaker private substitutes for Delaware corporate law (or firms with worse baseline governance, more generally) should experience a steeper post-SOX decline. Long-run triple-difference designs across a battery of variables support that prediction. The Delaware premium falls disproportionately among (i) small firms, which have fewer private alternatives to Delaware's legal protections; (ii) firms listed off the major U.S. exchanges, where exchange-mandated governance requirements are thinner; and (iii) firms whose internal controls were later exposed as deficient by Section 404 audits. The

Delaware premium fell most where governance was thinnest, as one would expect if SOX reduced the marginal value of Delaware incorporation.

Finally, I use the recent DExit departures to test directly whether Delaware incorporation commands a valuation premium today. I perform a daily event-study around each DExit reincorporation proposal since 2023, and find no evidence that the average departure leads to negative abnormal returns. A natural limitation of this test is that it is low-powered, consisting of only 18 firms, and suffers from self-selection. Therefore, I also employ a lower frequency test using synthetic controls, a method specifically designed to overcome these problems (Abadie, Gardeazabal, 2003; Abadie, Diamond, et al., 2010). For each reincorporating firm, I construct a synthetic portfolio of Delaware firms from the same industry that closely matches its pre-reincorporation characteristics. Comparing the reincorporating firms with their synthetic counterfactuals, I find no evidence that reincorporation changes Tobin's q, on average.

This paper makes several contributions. First, it extends and reinterprets the empirical record on the Delaware premium. Subramanian (2004) argued that the premium had become nonexistent by the late 1990s and was concentrated in small firms; Rhee (2023) confirms its absence from 2015–2019. My extension suggests a different reading; though the premium slowly decreased during the late 1990s, it recovered in 1999 and remained large until the summer of 2002 when it abruptly declined. The timing of the decline I report is therefore most consistent with a SOX effect. My evidence also suggests that the Delaware premium was concentrated among small firms because they lacked the private governance substitutes available to larger companies and therefore had the most to gain from Delaware's governance protections; correspondingly, the premium declined most sharply among those firms following the enactment of SOX.

Second, the paper contributes to the SOX literature (e.g., Zhang (2007), Iliev (2010)) which has largely focused on the direct costs and benefits to public firms of the Act's governance and disclosure requirements. This paper documents a previously unexplored consequence of federal governance regulation: beyond affecting firms directly, SOX also altered the relative attractiveness of competing incorporation regimes. The evidence suggests that federal governance mandates can substitute for state-level corporate law, reducing the marginal value of institutions that previously supplied unique protections (similar to Greenstone et al. (2006) in the context of the 1964 Securities Acts Amendments).

Third, the findings add nuance to the debate over state competition for corporate charters. The evidence corroborates the race-to-the-top view of the pre-SOX world, under which states compete for incorporations by supplying governance protections valued by investors (Winter, 1977; Romano, 1985). Delaware offered substantive governance protections that investors valued, and the Delaware premium disappeared when many of those protections were federalized. However, Delaware's recent response to DExit, relaxing minority-shareholder protections to retain corporate clients (Delaware S.B. 21, 2025), suggests that race-to-the-bottom dynamics (Cary, 1974), under which states compete by accommodating managerial preferences, may be more relevant in the post-SOX world. Taken together, the results suggest that whether states compete by protecting investors or by accommodating managerial preferences may depend on the scope available for states to differentiate their corporate law.

These contributions are timely. The recent DExit wave and Senate Bill 21 reflect renewed disputes over state corporate law and the governance protections associated with Delaware incorporation. These developments have occurred against a long backdrop in which the value of Delaware incorporation has eroded following SOX's federalization of key governance protections. Because franchise taxes and fees account for a substantial share of Delaware's revenue (Kahan, Kamar, 2002), trends in the state charter environment have implications not only for firms, but also for the states' fiscal positions.

The remainder of the paper is organized as follows. Section 2 provides background information on Delaware's incorporation advantage, SOX, and DExit. Section 3 describes the data. Section 4 presents the results. Section 5 concludes.

2 Institutional Background

2.1 Delaware Corporate Law Franchise

Roughly seventy percent of all publicly traded U.S. companies (Figure 1) and roughly two-thirds of the Fortune 500 are incorporated in Delaware (Daines, 2001; Romano, 1985). Delaware earns roughly a quarter of its annual revenue from incorporation franchise taxes and fees (Kahan, Kamar, 2002), giving it a unique fiscal stake in corporate law quality.

The academic literature frames Delaware's dominance through two competing hypotheses. Cary (1974) argued that interstate competition for corporate charters is a race to the bottom: states bid for incorporation revenue by offering rules that benefit managers at the expense of shareholders, and Delaware wins because it is the most permissive. Winter (1977) and Romano (1985) offered the opposite view, that competition is a race to the top: firms choose their state of incorporation to signal governance quality to investors, and Delaware wins because it supplies the most valuable corporate-law product. The Daines (2001) premium is consistent with the race-to-the-top view: investors paid more for firms that had credibly committed to high-quality governance by selecting a demanding corporate-law regime.

The enforcement of Delaware's corporate-law is the responsibility of the state's Court of Chancery, an equity court with no jury that has heard corporate disputes since 1792 (Delaware Court of Chancery, 2024). The Court's institutional features are difficult for competing states to replicate quickly: a bench of full-time judicial officers with deep expertise in corporate law, a procedural tradition that facilitates rapid resolution, and more than two centuries of accumulated precedent that gives boards and lawyers a fairly reliable map of court behavior (Romano, 1985; Goshen, Stein, 2024). Delaware law is often described as "predictable" in the sense that the dense body of doctrine reduces the legal uncertainty embedded in significant corporate decisions.

Delaware has developed a large body of fiduciary-duty doctrine governing the relationship between managers, directors, and shareholders. Over time, Delaware courts have developed doctrines addressing director oversight responsibilities, takeover defenses, change-of-control transactions, and shareholder litigation. Cases such as *Caremark*, *Revlon*, and *Unocal* are among the best-known examples.

A potentially important channel through which Delaware law may create value is its treatment of corporate control transactions (via the *Revlon* and *Unocal* case lines). Daines (2001) found not only that Delaware firms traded at a premium but also that they were more likely to be acquired and more active as acquirers, and argued that Delaware law lowered the costs of efficient control transfers. These findings suggest that at least part of the valuation premium may have reflected the market's expectation that Delaware firms would benefit from more efficient future control transactions. In Section 4 I show that this M&A advantage eroded in tandem with the premium after 2002.

2.2 SOX and the federalization of corporate governance

For most of the twentieth century, the substantive content of U.S. corporate governance was a matter of state law. The federal securities statutes of 1933 and 1934 regulated disclosure, but the underlying issues of fiduciary duty, board composition, internal control, and the remediation of managerial misconduct were left to the law of the state of incorporation (Coates, Srinivasan, 2014).

The Sarbanes–Oxley Act of 2002 (Pub. L. 107-204), enacted in the immediate aftermath of the Enron and WorldCom accounting scandals, materially shifted the corporate governance environment by imposing a comprehensive set of governance requirements in areas traditionally governed by state corporate law (Coates, Srinivasan, 2014; Romano, 2005). The four most economically significant provisions and their relationship to Delaware doctrine are summarized in Table 1. Some of the provisions overlap with existing Delaware doctrine more than others, but all four provisions reduced the extent to which firms relied on Delaware's Court of Chancery as their primary source of governance protection.

§§ 302 and 404 both federalize duties that Delaware courts had previously enforced through fiduciary-duty litigation. The *Caremark* line already required directors to maintain adequate oversight systems and accurate disclosures; §§ 302 and 404 re-enacted those obligations as personal, criminal-liability-backed federal mandates enforceable by the SEC rather than by derivative plaintiffs in Chancery. On the other hand, § 301 filled a genuine gap, as Delaware had imposed no mandatory audit-committee independence requirement. § 806 created whistleblower protections for employees of publicly traded firms who report securities fraud, including anti-retaliation remedies and a federal cause of action. Delaware corporate law did not provide a comparable employee-facing enforcement mechanism, instead relying on shareholder-initiated tools such as derivative suits.

2.3 The recent DExit episode

In January 2024, Chancellor Kathaleen McCormick of the Court of Chancery issued a 200-page opinion in *Tornetta v. Musk* rescinding Elon Musk's 2018 compensation package at Tesla, valued at approximately $56 billion (McCormick, 2024). The ruling applied Delaware's entire-fairness standard on the grounds that Musk was a controlling stockholder with respect to his own pay negotiation, and that the board members who approved the plan lacked adequate independence. Within days, Musk posted publicly that firms should "never incorporate in the state of Delaware" (Musk, 2024), announced plans to move Tesla to Texas, and called a shareholder vote to ratify the voided compensation.

The episode catalyzed a wave of reincorporations (Kahan, Rock, 2025; Khoo, Tallarita, 2025). Table 2 and Figure 2 document the full cohort: as of early 2026, 18 public companies had proposed departures; 16 completed the move, most to Nevada or Texas. Collectively the cohort represented over $892 billion in market capitalization, concentrated in technology and financial-services firms with concentrated ownership structures. Delaware's legislature responded in March 2025 with Senate Bill 21, the most significant amendment to the Delaware General Corporation Law in decades, creating statutory safe harbors for controlling-stockholder transactions and narrowing shareholder inspection rights (Delaware S.B. 21, 2025); Bennett et al. (2026) document adverse market reactions to SB 21's passage, consistent with shareholders pricing the weakened protections. The Delaware Supreme Court reversed the Tornetta rescission remedy in December 2025 (Delaware Supreme Court, 2025) and upheld SB 21's constitutionality in February 2026.

Two features of this episode are important for interpreting the paper's findings. First, the premium documented in Section 4 disappeared around 2002 and had been statistically indistinguishable from zero for twenty years before Tornetta. The DExit wave does not explain the premium's disappearance, as it postdates it by two decades. Second, the departing firms are almost exclusively controlled companies whose specific grievance was entire-fairness review of controlling-stockholder transactions, a corner of Delaware doctrine irrelevant to the vast majority of Delaware-incorporated public companies that have no controlling stockholder. Section 4.5 shows that markets did not react to the departures, consistent with the view that the governance value of Delaware incorporation had already been eliminated.

3 Data

3.1 Sample construction

The primary data source is Compustat, covering fiscal years 1971 through 2025. I extract all firm-years with nonmissing total assets, net sales, share price, shares outstanding, common equity, and state of incorporation. Following Daines (2001), I exclude regulated utilities (SIC 4900–4999) and financial firms (SIC 6000–6999) and require each firm to appear in at least five fiscal years. A natural concern is that the late-1990s Delaware premium spike is an artifact of the dot-com bubble. I therefore exclude firms whose four-digit SIC code aligns with a technology sector (computer hardware, telecom equipment and services, semiconductors, computer services and software, and e-retail).The main results are similar with these firms included.

I use EDGAR-derived state-of-incorporation flags, constructed by parsing the most recent DEF 14A and 10-K headers, for each firm where this data is available. Firms with disparate Compustat and EDGAR incorporation states are assigned the EDGAR value.

The resulting annual panel contains 151,462 firm-year observations.

3.2 Measuring firm value

The principal outcome variable is Tobin's q. For the Daines (2001) replication I use the standard formulation (e.g., (Kaplan, Zingales, 1997)):

$$Q_{it} = \frac{\mathrm{MVE}_{it} + \mathrm{AT}_{it} - \mathrm{CEQ}_{it} - \mathrm{DT}_{it}}{\mathrm{AT}_{it}},$$

where MVE is market equity (shares outstanding times fiscal-year-end price), AT is book total assets, CEQ is book common equity, and DT is balance-sheet deferred taxes. After replicating Daines (2001), I perform the remaining analysis using the intangible-adjusted total q of Peters and Taylor (2017). I trim q at the 1st and 99th percentiles within each fiscal year and winsorize the controls at the 5th and 95th percentiles.

3.3 Supplementary data

Daily stock returns come from the CRSP daily stock file and are used for event studies around both SOX and DExit. For some very recent IPO firms, daily return data come from Yahoo! Finance because they are not available in CRSP. M&A data are from SDC Platinum (1985–2021). I construct target and acquirer indicator variables that are equal to one if the firm is a target or acquirer, respectively, in a given year. I include all control-changing deals with at least 50% of shares acquired. SOX internal-control data are from Audit Analytics, which records material-weakness disclosures and audit fees from Section 404 filings beginning in fiscal year 2004. I construct public-salience proxies from the Google Books Ngram Corpus (annual mention frequency of "Delaware Court of Chancery" and "Delaware Chancery" in the English-language corpus) and Google Trends (monthly and weekly search interest).

4 Results

4.1 The erosion of the Delaware premium

Table 3 replicates the main result of Daines (2001) over his original 1981–1996 sample. Following Daines, I regress Tobin's q on a Delaware-incorporation indicator, controlling for log sales, R&D intensity, return on assets (current and lagged), and two-digit SIC industry and year fixed effects. The estimated Delaware coefficient is +0.079, closely matching Daines's published estimate. For the median sample firm, this increment corresponds to approximately a 5–6% premium in market value.

Standard Tobin's q understates the true asset base of intangible-intensive firms because investment in R&D and a portion of SG&A is expensed in the income statement rather than capitalized on the balance sheet (Peters, Taylor, 2017). If Delaware-incorporated firms differ systematically from non-Delaware peers in intangible intensity, than the Daines (2001) result could reflect measurement error rather than a true valuation premium. I address this concern by re-estimating the Daines replication using the intangible-adjusted total q of Peters and Taylor (2017), which capitalizes R&D and organizational capital on the balance sheet. The results are essentially unchanged, but in light of Peters and Taylor (2017) I use the intangible-adjusted total q of throughout the rest of the paper.

Figure 3 plots the estimated Delaware coefficient from annual cross-sectional regressions over the full 1981–2025 panel using the intangible-adjusted q of Peters and Taylor (2017). Panel (a) shows the per-year 1/99-trimmed specification (the baseline throughout); panel (b) the industry-adjusted specification, which subtracts the three-digit SIC mean q; and panel (c) the per-year 5/95-winsorized specification. For each, the premium follows a distinctive arc: stable and significant through the 1980s and early 1990s, expanding sharply through the late 1990s, then declining steadily through the early 2000s and effectively zero thereafter. The late-1990s expansion is not an artifact of the dot-com bubble, as technology and internet firms are excluded throughout (Section 3). Table 4 presents the coefficients numerically, along with the number of firms, n, in each cross-section.

Daines (2001) argued that Delaware law improved firm value in part through a transactional channel: by lowering the costs of efficient control transfers, incorporation in Delaware made firms more valuable to potential acquirers and more active acquirers themselves. I test whether this transactional advantage eroded post-SOX.

Figure 4 presents two panels, one for target propensity and one for acquirer propensity. In each, I regress the relevant activity indicator on a Delaware indicator and standard controls separately for each year from 1985 through 2021, and plot the estimated Delaware coefficient alongside the annual q-premium series from Figure 3 as a dashed line. Both series track the q-premium path closely: the Delaware acquisition and target advantages are positive and stable through the 1990s, turn negative in the mid-2000s, and remain there. The acquirer coefficient exhibits a sharper and earlier decline, whereas the target coefficient's erosion is more gradual.

Table 5 quantifies the shift with a difference-in-differences design. Pre-2002, Delaware-incorporated firms were +1.60 percentage points more likely in any given year to make an acquisition than comparable non-Delaware firms, against a base acquisition rate of roughly 22% of firm-years; they were also modestly more likely to be targets (+0.46 percentage points). After 2002, both advantages closed: the estimated Delaware $\times$ Post-2002 interaction on acquisition propensity is -2.82 percentage points, eliminating the pre-SOX differential entirely. The valuation premium and the transactional advantage that Daines identified as its mechanism declined in tandem, consistent with a single underlying shift that eroded the premium and the primary channel Daines (2001) identified as its source.

4.2 The declining salience of Delaware corporate law

If SOX federalized governance protections that Delaware previously supplied predominantly, the Delaware Court of Chancery, the institution through which those protections are delivered and refined, should experience a decline in practical prominence over the post-SOX period. I construct two proxies for the Court's salience that operate at different frequencies and capture different audiences. The first is the Google Books Ngram frequency of references to the Court in published text, which captures the Court's prominence in legal and academic writing over the long run. The second is the Google Trends search index for the Court, which captures public attention from a more general audience. Both are composite measures, each summing search indices for the queries "Delaware Court of Chancery" and "Delaware Chancery Court." Summing across these variants reduces sensitivity to how users phrase their searches and gives a more stable signal of underlying interest.

Figure 5 presents the Ngram evidence in three panels. The top panel reproduces the annual Delaware q-premium coefficient from Figure 3 as a reference. The middle panel plots the Delaware Court of Chancery composite Ngram frequency alongside the Ngram frequency for "Sarbanes-Oxley." The contrast is striking: references to the Delaware Court of Chancery in published text rose steadily through the 1980s and 1990s alongside the premium, then flattened and declined after 2002 as references to Sarbanes-Oxley surged. The bottom panel makes this substitution explicit, plotting SOX's share of the combined cumulative Ngram attention across the two bodies of law. SOX's share rises steadily through the 2000s and crosses the 50% mark, indicating that in the post-SOX era the federal governance statute has attracted more cumulative scholarly and legal attention than the Delaware Court it partially supplanted. Across the sample, the annual Delaware Chancery Ngram frequency is positively correlated with the annual Delaware q-premium coefficient (Spearman $\rho = 0.29$; Pearson $r = 0.34$), and the rise of SOX's attention share is negatively correlated with the premium (Spearman $\rho = -0.52$; Pearson $r = -0.43$).

Figure 6 turns to Google Trends, which extends the salience evidence to the present and captures a broader audience. The figure plots the monthly composite search index for the Delaware Court of Chancery from 2004 (the earliest year for which Google Trends data are available) through early 2026. The broad pattern mirrors the Ngram: search interest is relatively elevated in the early 2000s and declines through the 2010s, consistent with the Court becoming a less salient institution in the everyday landscape of corporate governance as SOX's federal standards matured.

What distinguishes the Google Trends (Figure 6) series from the Ngram (Figure 5) is its behavior since 2022. The monthly figure shows sharp spikes layered onto an otherwise subdued baseline: the filing of *Twitter v. Musk* in Chancery in July 2022, the Court's voiding of Elon Musk's $56 billion Tesla compensation package in January 2024, the signing of SB 21 into law in March 2025, and the Delaware Supreme Court's reversal of the pay ruling in December 2025. The weekly figure (Figure 7) resolves these episodes in greater detail. Importantly, the nature of this renewed attention is qualitatively different from the attention the Court attracted in its pre-SOX prime. In the 1980s and 1990s, Delaware Court of Chancery drew attention as a value-creating institution. The spikes of 2022–2025, on the other hand, may reflect the Court under siege: litigation over whether its most prominent rulings would be honored, legislative override of those rulings, and the departure of major firms. These events map directly onto the DExit movement documented in Table 2 and examined in Section 4.5.

Taken together, the Ngram and Trends evidence paints a consistent picture: the Delaware Court of Chancery declined as a salient institution in corporate governance in the years following SOX, and has recently re-entered public attention not as a trusted venue but as a contested one. These patterns are consistent with the SOX-substitution hypothesis, but they are not sufficient to establish it. Any slow-moving legal or institutional trend could in principle produce parallel declines in Court salience and firm valuation; the proxies cannot isolate SOX's causal contribution. The next section turns to an event study designed to disentangle the effects more precisely using daily data.

4.3 Event study: SOX enactment and the Delaware premium

To distinguish the SOX-substitution hypothesis from alternative explanations based on slow-moving economic or legal trends, I examine stock-market reactions around key legislative events. Event studies isolate changes in firm value that occur within narrow windows, making them less susceptible to confounding from gradual shifts in governance practices or investor sentiment. If SOX reduced the incremental value of Delaware incorporation, Delaware firms should underperform non-Delaware firms when legislative developments increase the likelihood of enactment. Conversely, events that do not meaningfully alter the probability of reform should produce little differential reaction. I test this prediction using the following regression specification:

$$\mathrm{CAAR}_i(t) = \alpha + \beta_t \, \mathit{delaware}_i + \gamma' \mathbf{x}_i + \delta_j + \varepsilon_{it}, \tag{1}$$

where $\mathrm{CAAR}_i(t)$ is firm i's cumulative industry-adjusted abnormal return through day t (using equal-weighted SIC2 returns as a benchmark), normalized to zero on the trading day before the event under study. $\mathbf{x}_i$ contains log(sale), R&D intensity, ROA, and lagged ROA. δ_j are SIC2 fixed effects. The path of $\hat{\beta}_t$ traces the differential cumulative return for Delaware vs. otherwise-similar non-Delaware firms. I use heteroskedasticity-robust (White, 1980) standard errors and depict a 95% confidence interval. The sample consists of the $2,676$ dot-com-excluded firms that map to a CRSP permno (Section 3; results are robust to including dot-com firms).

Figure 8 depicts the path of the Delaware coefficient over the period between March 1 through December 31, 2002, including the period during which SOX's enactment went from being viewed as an unlikely to enacted law. The pre-trend from March through June 24, before any strong-SOX catalyst, is a flat +0.35 percentage points, consistent with no anticipatory repricing. On June 25, WorldCom announced the largest accounting fraud in U.S. history, and substantive federal legislation became a near certainty (Hamburger et al., 2002). The announcement produced a sharp downward break in the Delaware coefficient. 10 days after the WorldCom disclosure, the DE return differential was a statistically significant −1.50 percentage points. The coefficient continued declining through SOX's Senate passage (97–0, July 15) and President Bush's signing (July 30), by which point DE firms had lost a cumulative −1.72 percentage points, on average. Between October and year-end, this number had largely stabilized at around −3.82 percentage points, as investors continued repricing Delaware's relative governance contribution in the months following enactment.

The cumulative −3.82 percentage point discount is economically large relative to the premium it erased. Daines (2001) estimated that Delaware incorporation was worth roughly five percentage points of market capitalization for the median firm. The loss of value to Delaware firms by the end of 2002 accounts for the bulk of that premium, suggesting that SOX and its aftermath eliminated most of it. The speed of this value deterioration is striking: a multi-decade valuation differential was substantially diminished within a five-week window leading up to the legislation, and all but erased within 2 months thereafter. The pattern is difficult to attribute to any slow-moving alternative explanation; the maturation of competitor-state judiciaries, the rise of institutional monitoring, and the development of internet-based communication all evolved over years rather than weeks. The timing and magnitude of the repricing are strongly suggestive that SOX meaningfully decreased the value of Delaware's governance protections.

On the other hand, Figure 9 shows that the April 2002 House passage of the Oxley bill produces no Delaware differential. The bill was widely understood at the time as a modest disclosure measure that had limited value-relevant implications. The evidence from Figure 9 suggests that market participants anticipated that the Oxley bill would not materially alter the governance gap between Delaware and non-Delaware firms. In the 10 days following the House passage, Delaware firms experienced an economically small and statistically insignificant change of −0.03 percentage points relative to non-Delaware peers.

A plausible alternative interpretation of the SOX-window results is that Delaware law, not the federal statute, was responsible for the premium's collapse. Enron was a Delaware-incorporated firm; if its collapse revealed that Delaware governance was inadequate in failing to prevent the fraud, investors might have repriced Delaware incorporation at that moment, independently of any legislative response. To test this, I conduct an event study using the same approach as the one described above around the Enron event. This event study is depicted in Figure 10, and shows no evidence that Delaware firms experienced differential returns around the Enron stock collapse of October 2001. This null result indicates that the failure of Delaware law to prevent the Enron disaster was not responsible for the decrease in the premium that began several months later.

In Table 6, I summarize the findings of this event study approach estimated around several of the key legislative dates. The nulls effects around the House bill signing and the Enron disclosure, alongside the large and significant effects at WorldCom and the signing, are consistent with Li et al. (2008) and Jain and Rezaee (2006), who find that broad SOX-related valuation effects were concentrated between late June and August 2002, precisely the window over which the Delaware premium was eroded.

To assess whether the observed Delaware returns at the key legislative dates are unusually negative, I construct an empirical null distribution (Figure 11). For each of 150 pseudo-event dates drawn at random from the 1993–2009 CRSP daily file, I re-estimate Equation 1 and record the resulting coefficient. The distribution is centered near zero, suggesting the result is not mechanical, and provides a baseline against which to judge the magnitude of the real-event effects. The response around the WorldCom disclosure sits at the 0.01 quantile (left tail) and the signing at 0.07. The House bill and Senate passage dates fall in the middle of the distribution ($p = 0.62$ and $p = 0.67$ respectively), confirming that the large Delaware discounts are specific to the window around SOX's passage.

I verify that the result of Figure 8 is not driven by outlier returns by repeating the exercise using CAARs that are winsorized at the 5th and 95th percentile (Appendix Figure A.A.3) and by replacing the OLS regression with a median (quantile) regression (Appendix Figure A.A.2). The patterns are essentially unchanged, confirming that the large negative Delaware CAARs between the WorldCom disclosure and the SOX signing are not driven by outliers.

Taken together, these event studies point to SOX as a major cause of the Delaware premium's disappearance. The next section reinforces the interpretation by showing that the premium declines most precisely where SOX's federal governance floor substitutes most directly for Delaware law.

4.4 Heterogeneity: where did the premium erode?

If the decline in the Delaware premium is due to SOX federal governance standards, then the premium should decline most for firms that had the weakest alternative sources of governance quality (i.e., those that relied most heavily on Delaware's governance protections) (Litvak, 2007). I use three firm characteristics to proxy for governance reliance. Small firms lack the financial and legal infrastructure of large corporations; with fewer in-house compliance resources and less access to the analyst scrutiny and institutional monitoring that can substitute for formal legal protections, Delaware's governance product was relatively more valuable to them, so SOX's mandatory floor should have mattered most precisely there. Firms listed off a major exchange similarly lack the discipline of exchange listing standards and continuous analyst coverage, making their Delaware-specific protections a larger share of total governance. Finally, firms subsequently identified as having material internal-control weaknesses under SOX Section 404 are a direct, ex-post measure of governance deficiency; they had the most acute gaps, and the federal audit floor should have been most consequential for them.

For each of these three governance dimensions I estimate a triple-difference of the form

$$
\begin{aligned}
Q_{it} = \alpha &+ \beta_1 \, \mathrm{DE}_i + \beta_2 \, G_{it} + \beta_3 \, \mathrm{Post}_t + \beta_4 (\mathrm{DE}_i \times G_{it}) \\
&+ \beta_5 (\mathrm{DE}_i \times \mathrm{Post}_t) + \beta_6 (G_{it} \times \mathrm{Post}_t) + \theta (\mathrm{DE}_i \times G_{it} \times \mathrm{Post}_t) + \mathbf{X}_{it}' \boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it},
\end{aligned}
\tag{2}
$$

where G_{it} is a binary indicator equal to one for the exposed group in each case (small, non-major-exchange, or material-weakness firms). A negative $\hat{\theta}$ means the Delaware premium fell more sharply for that group after 2002. Table 7 collects these estimates alongside the null results from institutional ownership, controlled-company status, and dual-class structure; Tables 8, 9, and 10 report the full per-period breakdowns for the three primary cross-sectional splits, and analogous tables for the remaining governance proxies are in Appendix B.

Size. Small firms lack the in-house compliance resources and dedicated legal infrastructure that large corporations deploy as private substitutes for formal legal protections. Delaware's governance product should therefore be most valuable to small firms, and if so, one would expect the pre-SOX premium to be concentrated among them and to erode most sharply when SOX installed a federal floor. The prediction is consistent with Subramanian (2004)'s observation that the Daines premium was concentrated in small firms, though the interpretation differs: rather than a fragile or illusory premium, the small-firm concentration reflects reliance on Delaware law that SOX subsequently rendered redundant. I split firms at the median annual sales in each year (small-firm median: \$24 million; large-firm median: \$771 million).

The results confirm the prediction. The coefficient of interest, $\hat{\theta}$, is a statistically significant -0.15 percentage points, indicating that the premium's disappearance was concentrated among small firms. The pre-SOX Delaware premium was similar across size groups, with a small-firm premium of $+0.05$ percentage points and a difference between groups of $+0.03$ percentage points that is not statistically significant. Post-SOX, the large-firm premium is essentially zero at $+0.00$ percentage points, whereas the small-firm premium falls to a modestly negative -0.11 percentage points. The entire cross-sectional variation in the premium's disappearance concentrates in the small-firm group (Table 8). The result speaks directly to the debate with Subramanian (2004). If the pre-SOX small-firm concentration reflected a fragile or illusory premium, one would expect gradual mean reversion unrelated to any specific event. The data show the opposite: the small-firm premium was stable and significant through the 1990s and eroded precisely when SOX was enacted, not before.

Listing venue. Firms listed on a major exchange (74% of the sample) face continuous analyst coverage and the governance discipline of exchange listing standards (Chhaochharia, Grinstein, 2007), private substitutes for formal legal protections that OTC and pink-sheet firms (26%) lack. The prediction is that the premium erodes most for non-major-exchange firms, which relied on Delaware law more heavily. The prediction is confirmed (Table 9): the Delaware premium was larger pre-SOX among non-major-exchange firms, and the Panel A per-period breakdown shows that differential had eroded entirely by the post-SOX window.

Internal-control weakness. SOX Section 404 created a direct firm-level measure of governance deficiency: a material weakness finding means auditors identified a deficiency severe enough to allow a material misstatement to pass undetected. These firms had the most acute governance gaps and should have benefited most from SOX's mandatory audit floor, so their Delaware premium should have eroded most sharply. On the $93,791$-observation accelerated-filer subsample, the triple-difference for material-weakness firms is -0.13, confirming the prediction. Table 10 shows that pre-SOX there is no meaningful difference between material-weakness and clean Delaware firms (-0.03); the post-SOX gap opens to -0.14, considerably larger.

Null results. Not every dimension tells the same story, and the nulls are informative. Institutional ownership produces a triple-difference of $+0.04$ ($p = 0.50$) under the baseline specification, an economically negligible null. The controlled-company and dual-class splits produce triple-differences of $+0.08$ and -0.01 respectively, neither significant. The nulls are informative about which aspects of SOX drove the erosion. Controlled and dual-class firms may claim the controlled-company exemption from SOX's board-independence and audit-committee composition requirements; if the premium's erosion operated primarily through board structure, one would observe differential erosion for the single-class and non-controlled firms subject to those mandates. The absence of any such differential suggests the board-composition provisions of SOX may not have been the primary channel. The certification and internal-control requirements of Sections 302 and 404, which apply universally regardless of ownership structure, are more consistent with the pattern.

4.5 DExit: firms leave Delaware

As discussed in Section 2.3, beginning in 2023 a cohort of firms began reincorporating out of Delaware, providing an opportunity to test whether Delaware incorporation commands a valuation premium today. Table 2 and Figure 2 document the DExit cohort. As of early 2026, 18 public companies had announced reincorporation proposals; 16 completed the move, most to Nevada or Texas. Collectively the departing firms represented more than $892 billion in market capitalization, concentrated in technology and financial-services firms with concentrated ownership structures. Figure 12 shows that departing firms are larger, more valuable, and more highly levered than the typical Delaware firm, consistent with the cohort being drawn from the population that historically stood to gain most from Delaware's governance environment.

Market reactions to the reincorporation announcements show no evidence of a positive repricing. Figure 13 plots the cumulative abnormal returns around each proposal date. The cohort earns a mean cumulative abnormal return of -3.9% at announcement, not statistically distinguishable from zero, consistent with no market-assessed governance benefit from leaving Delaware.

A critique of the event-study approach is that the DExit cohort is small by design, and the reincorporating firms are self-selected in ways that may affect the interpretation of the results. The synthetic control method (Abadie, Gardeazabal, 2003; Abadie, Diamond, et al., 2010) is designed specifically to overcome these limitations by constructing a data-driven counterfactual that consists of a weighted combination of "donor" units. For each reincorporating firm, I construct a donor pool consisting of Delaware- incorporated firms in the same two-digit SIC industry that did not leave Delaware. The controls are matched on the average pre-proposal sales, R&D intensity, and return on assets over the 12 quarters (or as many as are available) preceding the reincorporation proposal, along with the pre-proposal average q and the q in the final pre-proposal quarter. If the two-digit donor pool yields a poor pre-period fit (RMSPE > 0.50), I expand it to the one-digit SIC level. I then restrict to firms with good pre-period fits (RMSPE < 0.70); 11 of the 16 fitted reincorporating firms meet this threshold. Exhibits showing the q trajectory, covariate balance, and donor portfolio weights for each of the 11 included firms are in Appendix D. Figure 14 plots the mean and median treated-minus-synthetic q gap in event time. The gap is small and statistically indistinguishable from zero in the pre-reincorporation window, consistent with valid parallel trends; after the move, reincorporating firms show no discernible q improvement.

Although the sample naturally has limited power, both the event-study test and synthetic-control estimates indicate that reincorporating out of Delaware today neither creates nor destroys value.

5 Conclusion

The disappearance of the Delaware premium post-SOX is a novel empirical fact with consequential implications for both Delaware and the literature on state competition for corporate charters. The dominant view holds that interstate competition for corporate charters produces a self-reinforcing equilibrium in which Delaware commands a stable, value-enhancing advantage (Romano, 1985; Bebchuk, Hamdani, 2002). The evidence here suggests that this equilibrium is more contingent, and Delaware's incumbency less secure, than the literature had acknowledged. Because franchise taxes and related fees from incorporated firms account for a substantial share of Delaware's revenue (Kahan, Kamar, 2002), the empirical disappearance of its value-add to firms has real fiscal consequences for the state.

The findings speak to the foundational debate between race-to-the-top and race-to-the-bottom accounts of Delaware's dominance. Like Daines (2001), this paper corroborates the race-to-the-top view of the pre-SOX world: Delaware offered substantive governance protections before 2002, generating a premium that disappeared when SOX democratized those protections. Delaware's legislative response to the DExit departures, Senate Bill 21 (Delaware S.B. 21, 2025; Bennett et al., 2026), which relaxed minority-shareholder protections to retain corporate clients, is precisely the race-to-the-bottom dynamic Cary (1974) anticipated, though it emerged only after the premium had been gone for two decades.

By identifying the federalization of corporate governance under SOX as the most probable cause of the premium's decline, the paper also sheds light on how Delaware corporate law improved firm value in the first place. The Daines premium appears to have rested on the specific governance protections that SOX subsequently extended to all public companies by federal mandate: disclosure requirements, internal controls, and audit-committee independence. The paper recasts Delaware's pre-SOX advantage as contingent on the supply of alternative governance protections rather than as a fixed feature of state law. It also raises the question of whether any future state-level governance advantages may face the same vulnerability. As both the federal governance landscape and state charter competition continue to evolve, the substitution mechanism documented here may offer a useful lens for anticipating how future regulatory shifts reshape the map of corporate chartering.

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Table 1: The four economically significant provisions of the Sarbanes–Oxley Act of 2002 (Pub. L. 107-204) and their relationship to Delaware corporate-law doctrine. §§ 302 and 404 federalized duties previously enforced through Delaware fiduciary-duty litigation; § 301 filled a gap where Delaware law was silent on audit-committee independence; § 806 extended accountability logic into the employee-reporting channel that Delaware's shareholder-facing tools did not reach. Sources: Coates and Srinivasan (2014); Romano (2005).

SOX section	**Federal requirement**	**Delaware law relationship**
§ 302 *CEO/CFO certification*	CEOs and CFOs must personally certify the accuracy of periodic financial statements and the adequacy of internal controls, with criminal liability for knowing violations.	*Caremark* duty of candor and oversight: directors' obligation to ensure the accuracy of financial disclosures and to maintain adequate oversight of reporting, enforced through derivative litigation in Chancery.
§ 404 *Internal-control attestation*	Management must assess and report on the effectiveness of internal control over financial reporting; the external auditor must independently attest to that assessment (Iliev, 2010).	*Stone v. Ritter* and *Marchand v. Barnhill*: the duty-to-monitor line under *Caremark* governing the standard of care for failure to detect and correct corporate misconduct through adequate internal controls.
§ 301 *Audit committee independence*	Audit committees must consist entirely of independent directors and have direct authority over the appointment, compensation, and oversight of the external auditor (Chhaochharia, Grinstein, 2007).	Delaware imposed no mandatory audit-committee independence requirement; § 301 filled that gap rather than displacing an existing rule.
§ 806 *Whistleblower protection*	Federal civil and criminal protection for employees who report accounting irregularities or securities violations to supervisors, the SEC, or Congress.	Although misconduct reached Chancery Court primarily through shareholder tools (DGCL § 220 inspection demands and derivative suits) rather than employee reports, a degree of whistleblower function was served indirectly when employees provided evidence in derivative proceedings; § 806 formalized and expanded this channel with explicit federal protections.

Table 2: Public companies reincorporating from Delaware, 2023–2026. Firms are identified through EDGAR full-text search of 8-K filings announcing reincorporation proposals and preliminary proxy or information statements; proposal and completion dates are drawn from the relevant SEC filing dates. Market capitalization is Compustat market value of equity ($M) at the fiscal year-end preceding the proposal year.

Company	Ticker	Proposal date	To	Mkt cap (USD M)	Status
TripAdvisor	TRIP	2023-04-10	NV	$2,532	Completed
Cannae Holdings	CNNE	2024-04-14	NV	$1,373	Completed
Fidelity Natl Financial	FNF	2024-04-15	NV	–	Failed
Tesla	TSLA	2024-06-13	TX	$791,409	Completed
The Trade Desk	TTD	2024-09-23	NV	$35,182	Completed
Dropbox	DBX	2025-01-31	NV	$8,889	Completed
Trump Media	DJT	2025-02-21	FL	–	Completed
Simon Property Group	SPG	2025-03-21	IN	–	Completed
Coinbase	COIN	2025-03-26	TX	–	Completed
Tempus AI	TEM	2025-03-28	NV	–	Completed
Roblox	RBLX	2025-04-02	NV	$38,559	Completed
Sphere Entertainment	SPHR	2025-04-03	NV	$1,240	Completed
Xoma Royalty	XOMA	2025-04-04	NV	$314	Completed
MSG Entertainment	MSGE	2025-04-07	NV	–	Completed
MSG Sports	MSGS	2025-04-07	NV	$4,506	Completed
AMC Networks	AMCX	2025-04-11	NV	$437	Completed
Affirm Holdings	AFRM	2025-04-21	NV	–	Completed
Dillard's	DDS	2025-05-01	TX	$7,448	Completed

Table 3: Daines Replication: Pooled OLS Regressions. Each column reports estimates from $q_{it} = \alpha + \beta\,\text{Delaware}_i + \gamma'\mathbf{X}_{it} + \delta_j + \delta_t + \varepsilon_{it}$, where q_{it} is standard Tobin's q (MVE + AT − CEQ − DT) / AT, trimmed at the 1/99 percentiles within each fiscal year. Column 1 includes only the Delaware indicator; Column 2 adds controls $\mathbf{X}_{it}$ (log sales, R&D/assets, current and lagged ROA) and two-digit SIC and year fixed effects δ_j, δ_t. Standard errors are two-way (firm × year) cluster-robust. The sample is the Compustat annual file, 1981–1996, excluding utilities (SIC 4900–4999) and financials (SIC 6000–6999), and retaining firms with ≥ 5 firm-years.

	OLS (1981–1996)	OLS + controls (1981–1996)
Delaware incorporation	0.03	0.08***
	(0.02)	(0.02)
Firm size (log of sales)		-0.12***
		(0.01)
R&D expense/assets		8.19***
		(0.59)
Return on assets (current year)		0.70***
		(0.12)
Return on assets (prior year)		-0.65***
		(0.17)
Annual dummies	Yes	Yes
Industry dummies	Yes	Yes
Sample size	52,375	52,375
R^2	0.11	0.23

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 4: Annual estimates of the Delaware coefficient $\hat{\beta}_t$ from $q_{it} = \alpha + \hat{\beta}_t \, \text{Delaware}_i + \hat{\gamma}' \mathbf{X}_{it} + \delta_j + \varepsilon_{it}$, estimated separately for each fiscal year t across the full Compustat sample, 1971–2025, where $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA and δ_j are two-digit SIC fixed effects. q adjusts for intangibles following Peters and Taylor (2017). The trimmed column applies a 1/99 trim within each fiscal year, the industry-adjusted column subtracts the three-digit SIC mean q and drops SIC dummies, and the winsorized column applies a 5/95 cap within each fiscal year. The right-hand-side controls are likewise winsorized at the 5/95 percentiles within each fiscal year. Standard errors are White (1980) robust.

	Trimmed (1/99)		Industry-adj.		Winsorized (5/95)		
	Coef.	p	Coef.	p	Coef.	p	n
Year							
1971	0.08	0.05	0.06	0.14	0.04	0.22	1,427
1972	0.08	0.06	0.06	0.08	0.05	0.13	1,531
1973	0.05	0.06	0.05	0.03	0.05	0.02	1,631
1974	0.02	0.21	0.02	0.20	0.02	0.08	1,686
1975	0.04	0.02	0.03	0.07	0.03	0.02	1,745
1976	0.01	0.44	0.01	0.36	0.01	0.61	1,765
1977	0.00	0.82	0.01	0.67	0.00	0.71	1,791
1978	0.01	0.53	0.01	0.38	0.01	0.58	1,911
1979	-0.00	0.92	0.00	0.87	0.01	0.68	2,014
1980	-0.01	0.87	0.00	0.94	0.02	0.40	2,133
1981	0.05	0.06	0.05	0.03	0.05	0.03	2,424
1982	0.04	0.18	0.04	0.15	0.03	0.23	2,560
1983	0.05	0.12	0.05	0.10	0.04	0.07	2,812
1984	0.04	0.06	0.04	0.08	0.04	0.03	3,016
1985	0.07	0.00	0.06	0.02	0.06	0.01	3,154
1986	0.09	0.00	0.06	0.02	0.06	0.00	3,372
1987	0.07	0.00	0.06	0.01	0.06	0.00	3,403
1988	0.07	0.00	0.05	0.01	0.06	0.00	3,346
1989	0.06	0.01	0.05	0.04	0.05	0.01	3,251
1990	0.08	0.00	0.07	0.00	0.08	0.00	3,232
1991	0.12	0.00	0.10	0.00	0.10	0.00	3,329
1992	0.07	0.01	0.06	0.02	0.06	0.01	3,447
1993	0.08	0.00	0.08	0.00	0.07	0.00	3,634
1994	0.05	0.01	0.06	0.01	0.05	0.02	3,746
1995	0.04	0.13	0.03	0.22	0.04	0.11	4,032
1996	0.04	0.19	0.02	0.44	0.03	0.17	4,227
1997	0.03	0.18	0.03	0.30	0.02	0.31	4,249
1998	-0.00	0.98	-0.01	0.79	0.01	0.75	4,125
1999	0.08	0.06	0.04	0.30	0.07	0.06	3,994
2000	0.06	0.09	0.04	0.23	0.06	0.02	3,888
2001	0.06	0.07	0.03	0.31	0.05	0.05	3,677
2002	0.01	0.77	-0.01	0.59	0.02	0.37	3,514
2003	0.03	0.51	-0.00	0.90	0.04	0.18	3,358

Continued on next page

	Trimmed (1/99)		Industry-adj.		Winsorized (5/95)		
	Coef.	p	Coef.	p	Coef.	p	n
Year							
2004	-0.02	0.68	-0.03	0.38	0.02	0.50	3,281
2005	-0.01	0.85	-0.04	0.30	0.01	0.75	3,160
2006	0.02	0.59	-0.00	1.00	0.02	0.48	3,092
2007	-0.01	0.89	-0.02	0.48	-0.01	0.83	2,962
2008	-0.06	0.04	-0.06	0.02	-0.04	0.04	2,835
2009	-0.04	0.20	-0.04	0.12	-0.03	0.24	2,745
2010	-0.00	0.93	-0.01	0.85	-0.00	0.95	2,656
2011	-0.03	0.36	-0.03	0.35	-0.02	0.45	2,556
2012	-0.00	0.99	-0.00	0.93	-0.00	0.98	2,478
2013	0.00	0.95	-0.00	0.99	0.01	0.78	2,468
2014	-0.01	0.81	-0.02	0.60	0.00	0.91	2,485
2015	-0.03	0.57	-0.04	0.38	-0.01	0.82	2,427
2016	-0.09	0.06	-0.08	0.07	-0.06	0.11	2,370
2017	-0.21	0.00	-0.18	0.00	-0.13	0.00	2,298
2018	-0.13	0.02	-0.12	0.02	-0.11	0.01	2,273
2019	-0.04	0.44	-0.04	0.44	-0.06	0.17	2,213
2020	-0.14	0.11	-0.14	0.09	-0.07	0.28	2,185
2021	0.02	0.81	0.01	0.85	0.02	0.78	2,206
2022	-0.03	0.45	-0.01	0.88	-0.02	0.58	2,125
2023	-0.02	0.68	0.00	0.96	-0.02	0.63	2,015
2024	-0.01	0.85	0.00	0.93	-0.00	0.96	1,890
2025	0.08	0.18	0.10	0.05	0.07	0.16	1,318

Table 5: SOX DiD of Delaware M&A Activity. Columns 1–2 report firm-year-level OLS estimates of $y_{it} = \alpha + \beta_1 \text{Delaware}_i + \beta_2 \text{Post}_t + \beta_3(\text{Delaware}_i \times \text{Post}_t) + \gamma' \mathbf{X}_{it} + \delta_j + \varepsilon_{it}$, estimated on the SDC Platinum US-target sample, 1985–2021, where y_{it} is an indicator for firm i being a target (column 1) or acquirer (column 2) in year t, $\mathbf{X}_{it}$ includes log assets and ROA, and δ_j are two-digit SIC fixed effects. Columns 3–5 replace y_{it} with deal-level outcomes—the withdrawn-deal indicator (column 3), log days-to-close (column 4), and the defensive-tactic indicator (column 5)—estimated on the subsample of announced deals. The sample is restricted to control-changing deals with $\geq 50\%$ of shares acquired. Standard errors are White (1980) robust.

	Pr(target)	Pr(acquirer)	Pr(withdrawn)	Log days-to-close	Pr(defense used)
Delaware	0.00**	0.02***	0.03***	-0.04	-0.03**
	(0.00)	(0.00)	(0.01)	(0.04)	(0.01)
Post-2002	-0.02***	-0.06***	-0.11***	-0.11**	-0.15***
	(0.00)	(0.01)	(0.03)	(0.05)	(0.03)
Delaware × Post-2002	-0.00*	-0.03***	-0.01	0.08	0.03*
	(0.00)	(0.01)	(0.01)	(0.05)	(0.02)
Log(assets)	0.01***	0.06***			
	(0.00)	(0.00)			
Log(transaction value)			-0.01*	0.04***	0.02***
			(0.00)	(0.01)	(0.00)
ROA	-0.04***	-0.00			
	(0.00)	(0.01)			
Sample size	117,102	117,102	5,388	3,773	5,388
R^2	0.03	0.12	0.04	0.07	0.08

Standard errors in parentheses. *** $p < 0.01$, ** $p < 0.05$, * $p < 0.1$. Defense flag: SDC composite indicator that any defensive tactic was deployed.

Table 6: SOX Enactment: Abnormal Return Responses. Each row reports the Delaware coefficient $\hat{\beta}$ (percentage points) from $\text{CAAR}_i = \hat{\beta}\,\text{Delaware}_i + \hat{\gamma}'X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where CAAR_i is firm i's cumulative industry-adjusted abnormal return over the window defined by the *Start* and *End* columns, X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit SIC fixed effects. For the three event-study rows the window is $[-10, +10]$ trading days around the event date, rebaselined at $t = -1$; for the two episode rows it spans the full March 1–December 31, 2002 enactment episode, rebaselined at June 24, 2002. Firm characteristics are from the last fiscal year before the event; dot-com firms are excluded. Standard errors are White (1980) robust.

Event	Start	End	N	DE effect (pp)
Enron Q3 shock	Oct 2, 2001	Oct 30, 2001	2,909	-0.00 (0.60)
House passes Oxley bill	Apr 10, 2002	May 8, 2002	2,816	-0.03 (0.50)
WorldCom–Xerox–SEC	Jun 11, 2002	Jul 10, 2002	2,801	-1.50*** (0.54)
SOX signing	Mar 1, 2002	Dec 31, 2002	2,676	-1.72** (0.73)
Episode year-end	Mar 1, 2002	Dec 31, 2002	2,676	-3.82** (1.72)

Table 7: Heterogeneity in the Delaware Premium Erosion. Each row reports $\hat{\theta}$ from $q_{it} = \alpha + \beta_1 \mathrm{DE}_i + \beta_2 G_{it} + \beta_3 \mathrm{Post}_t + \beta_4(\mathrm{DE}_i \times G_{it}) + \beta_5(\mathrm{DE}_i \times \mathrm{Post}_t) + \beta_6(G_{it} \times \mathrm{Post}_t) + \theta(\mathrm{DE}_i \times G_{it} \times \mathrm{Post}_t) + \mathbf{X}_{it}'\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, estimated identically across all rows (only the sample and splitting variable G_{it} differ), where q_{it} is intangible-adjusted q winsorized 5/95 within fiscal year, $\mathbf{X}_{it}$ includes log sales, R&D/assets, ROA, and lagged ROA, and δ_j, δ_t are two-digit SIC and year fixed effects. G_{it} is coded one for the hypothesized erosion group, so a negative $\hat{\theta}$ indicates the Delaware premium fell more for that group after SOX. Standard errors are two-way (firm × year) cluster-robust. Full per-period tables for size, listing venue, and material weakness appear in Tables 8–10; analogous tables for the remaining heterogeneity dimensions are in Appendix B.

Moderator	Interacted (=1) group	DE×Mod×Post	N	R^2
Firm size	Small	-0.15*** (0.04)	133,828	0.09
Firm size (continuous)	z(log Sales)	+0.11*** (0.02)	133,828	0.09
Institutional ownership	High IO	+0.02 (0.05)	60,553	0.12
Inst. ownership (cont.)	z(InstOwn)	+0.01 (0.03)	60,553	0.12
Listing venue	Non-major-exchange	-0.14*** (0.05)	133,828	0.09
Controlled (EDGAR)	Non-controlled	-0.09 (0.08)	133,828	0.08
Dual-class	Single-class	-0.02 (0.08)	133,828	0.08
SOX 404 material weakness	Material weakness	-0.09* (0.05)	87,998	0.08
SOX 404 audit-fee shock	High fee shock	+0.02 (0.06)	87,998	0.08
Accelerated filer	Accelerated	+0.03 (0.06)	87,998	0.08
Non-audit fee reliance	High ratio (pre-SOX)	-0.04 (0.05)	74,516	0.10

Note: Each row is the Delaware × Moderator × Post$_{2002}$ triple-difference from one pooled OLS, $Q \sim$ Delaware+Mod+Delaware:Mod+Delaware:Post+Mod:Post+Delaware:Mod:Post+controls+C(sic2)+C(fyear), estimated identically for every splitting variable (only the sample and the splitting variable differ); Q is intangible-adjusted Peters-Taylor q (5/95-winsorized within fiscal year); two-way firm×year cluster-robust SEs in parentheses. Moderators are coded so the "= 1" group is the hypothesized erosion group. Size rows omit log(Sales) from the controls (it defines the splitting variable); the institutional-ownership rows use the 1999–2025 13F-coverage sample and the SOX-404 rows the population of 404 filers; the non-audit fee row uses firms with pre-SOX fee disclosure (FY2000–2001, approximately 4,800 firms). The full per-period tables are in the appendix. *** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 8: Delaware Premium by Firm Size. Panels A and B report estimates from $q_{it} = \alpha + \beta_1\,\text{Delaware}_i + \beta_2\,\text{Small}_{it} + \beta_3(\text{Delaware}_i \times \text{Small}_{it}) + \beta_4\,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{Small}_{it} \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{Small}_{it} \times \text{Post}_t) + \mathbf{X}_{it}'\gamma + \delta_j + \delta_t + \varepsilon_{it}$, where Small_{it} equals one if a firm-year's log sales falls below the within-year median and $\mathbf{X}_{it}$ includes R&D/assets, ROA, and lagged ROA (log sales is the splitting variable and is omitted from controls). Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Small interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.023	+0.016	+0.028*
	(0.015)	(0.028)	(0.017)
Small	+0.032	-0.096***	-0.015
	(0.038)	(0.035)	(0.028)
DE × Small	+0.026	-0.075**	-0.035
	(0.022)	(0.037)	(0.024)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	72,918	60,910	133,828
R^2	0.088	0.091	0.081

Panel B: Triple-difference

	Coefficient
Delaware	+0.012 (0.015)
Small	+0.016 (0.028)
DE × Small	+0.045** (0.020)
DE × Post-2002	+0.002 (0.029)
Small × Post-2002	-0.083* (0.045)
DE × Small × Post-2002	-0.153*** (0.041)
Controls	Yes
Industry FE	Yes
N	151,462
R^2	0.107

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table 9: Delaware Premium by Listing Venue. Panels A and B report estimates from $q_{it} = \alpha + \beta_1\,\text{Delaware}_i + \beta_2\,\text{NonMajor}_{it} + \beta_3(\text{Delaware}_i \times \text{NonMajor}_{it}) + \beta_4\,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{NonMajor}_{it} \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{NonMajor}_{it} \times \text{Post}_t) + \mathbf{X}'_{it}\gamma + \delta_j + \delta_t + \varepsilon_{it}$, where NonMajor_{it} equals one for firms trading on OTC or pink-sheet markets (Compustat STKO $\neq 0$) and $\mathbf{X}_{it}$ includes log sales, R&D/assets, ROA, and lagged ROA. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Non-major-exchange interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.06***	+0.02	+0.04**
	(0.02)	(0.03)	(0.02)
Non-major-exchange	-0.07***	-0.01	-0.05**
	(0.02)	(0.05)	(0.03)
DE × Non-major-exchange	+0.00	-0.19***	-0.08**
	(0.03)	(0.06)	(0.03)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	72,892	60,835	133,727
R^2	0.09	0.07	0.07

Panel B: Triple-difference

	Coefficient
Delaware	+0.06*** (0.02)
Non-major-exchange	-0.06*** (0.02)
DE × Non-major-exchange	-0.00 (0.03)
DE × Post-2002	-0.04 (0.03)
Non-major-exchange × Post-2002	+0.02 (0.05)
DE × Non-major-exchange × Post-2002	-0.18*** (0.06)
Controls	Yes
Industry FE	Yes
N	133,727
R^2	0.07

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Note: Panel A columns are separate per-period cross-sectional regressions, each estimating its own controls and fixed effects; Panel B is a single pooled triple-difference holding controls and fixed effects common across the pre/post split. The Panel B triple-difference is therefore the pooled estimand and need not equal the pre-to-post change in the Panel A interaction.

Table 10: Delaware Premium and SOX 404 Material Weakness. Panels A and B report estimates from $q_{it} = \alpha + \beta_1 \,\text{Delaware}_i + \beta_2 \,\text{MW}_i + \beta_3(\text{Delaware}_i \times \text{MW}_i) + \beta_4 \,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{MW}_i \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{MW}_i \times \text{Post}_t) + \mathbf{X}_{it}'\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, where MW_i equals one if firm i disclosed a Section 404 internal-control material weakness in any year of its 404-filing history beginning 2004 (Audit Analytics). The sample is the population of firms that filed at least one Section 404 opinion. $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA, and δ_j, δ_t are two-digit SIC and year fixed effects. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Material weakness interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.098***	+0.045	+0.063**
	(0.034)	(0.036)	(0.029)
Material weakness	-0.052	-0.025	-0.031
	(0.039)	(0.043)	(0.034)
DE × Material weakness	-0.026	-0.143***	-0.108***
	(0.050)	(0.051)	(0.042)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	31,149	56,849	87,998
R^2	0.090	0.070	0.064

Panel B: Triple-difference

	Coefficient
Delaware	+0.070** (0.034)
Material weakness	-0.060 (0.038)
DE × Material weakness	-0.006 (0.048)
DE × Post-2002	-0.027 (0.044)
Material weakness × Post-2002	+0.030 (0.054)
DE × Material weakness × Post-2002	-0.134** (0.060)
Controls	Yes
Industry FE	Yes
N	93,791
R^2	0.073

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Figure 1: Delaware's market share of public corporations, 1971–2025. (A) Delaware share of Compustat firm-years (excluding utilities, SIC 4900–4999, and financials, SIC 6000–6999); dashed vertical line marks Sarbanes-Oxley (2002). (B) Delaware share of new Compustat entrants, defined as firms in the first year of their Compustat record; dashed vertical line marks Sarbanes-Oxley (2002). Source: Compustat annual.

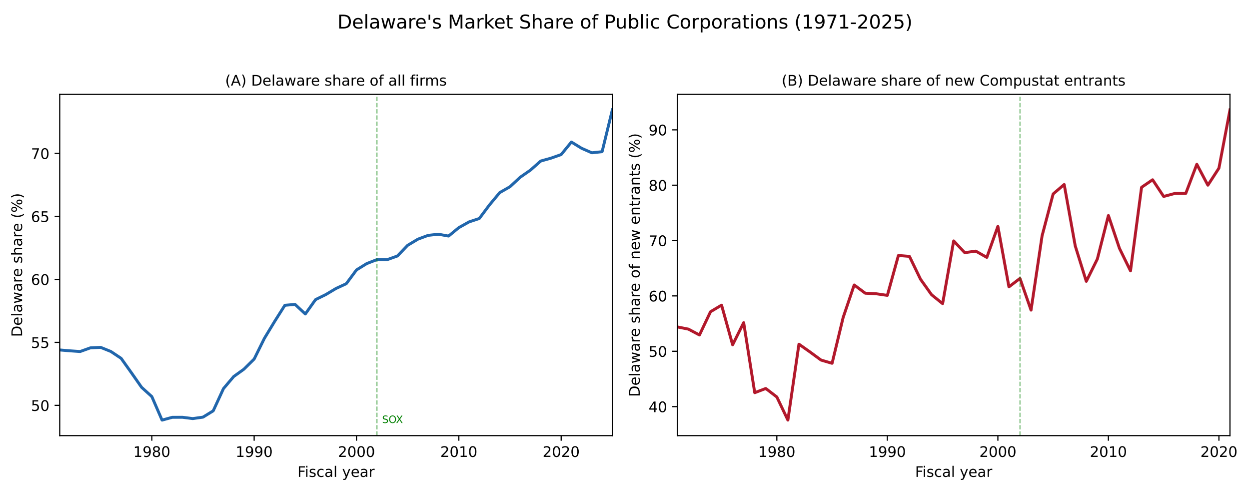


Figure 2: Public companies leaving Delaware, 2023–2026. Firms are identified through EDGAR full-text search of 8-K filings announcing reincorporation proposals and preliminary proxy or information statements. Proposal and completion dates are drawn from the relevant SEC filing dates. Each marker is a reincorporation proposal or completed move. Color denotes destination state and shape denotes outcome (circles: completed; triangles: pending; X: failed). Vertical dashed lines mark the Chancery Court's voiding of Musk's compensation (January 2024) and the signing of SB 21 (March 2025).

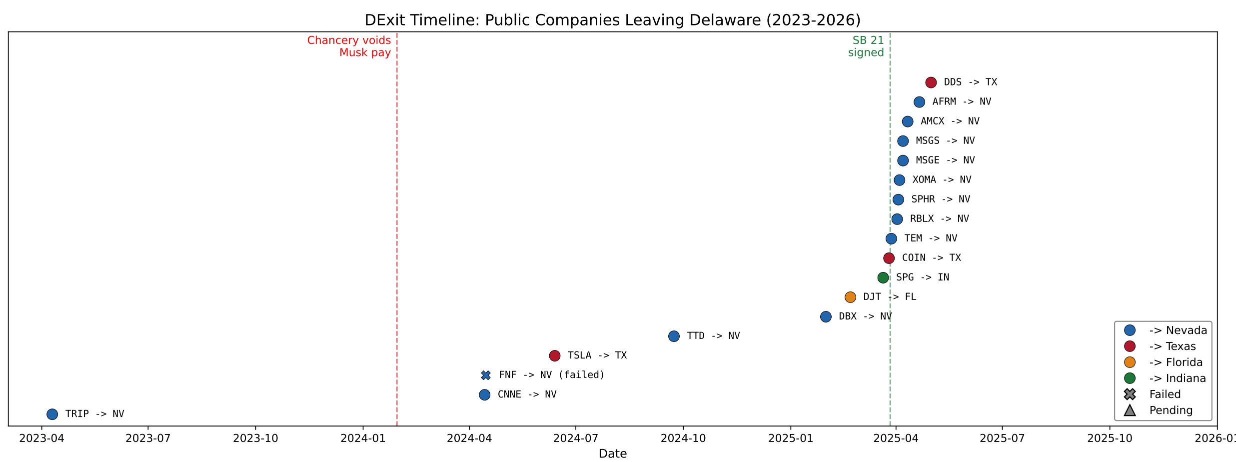


Figure 3: Annual Delaware Coefficient. The figure plots $\hat{\beta}_t$ from $q_{it} = \alpha + \hat{\beta}_t \, \text{Delaware}_i + \hat{\gamma}' \mathbf{X}_{it} + \delta_j + \varepsilon_{it}$, estimated separately for each fiscal year t across the full Compustat sample, 1971–2025, where $\mathbf{X}_{it}$ includes log sales, R&D/assets, ROA, and lagged ROA and δ_j are two-digit SIC fixed effects. Dot-com firms are excluded. Shaded bands are 95% confidence intervals. Panel (b) reports an industry-adjusted specification that subtracts the three-digit SIC mean q and drops SIC dummies. Panel (c) winsorizes q at the 5/95 percentiles within each fiscal year. The yellow band marks the Daines (2001) sample period (1981–1996). Standard errors are White (1980) robust.

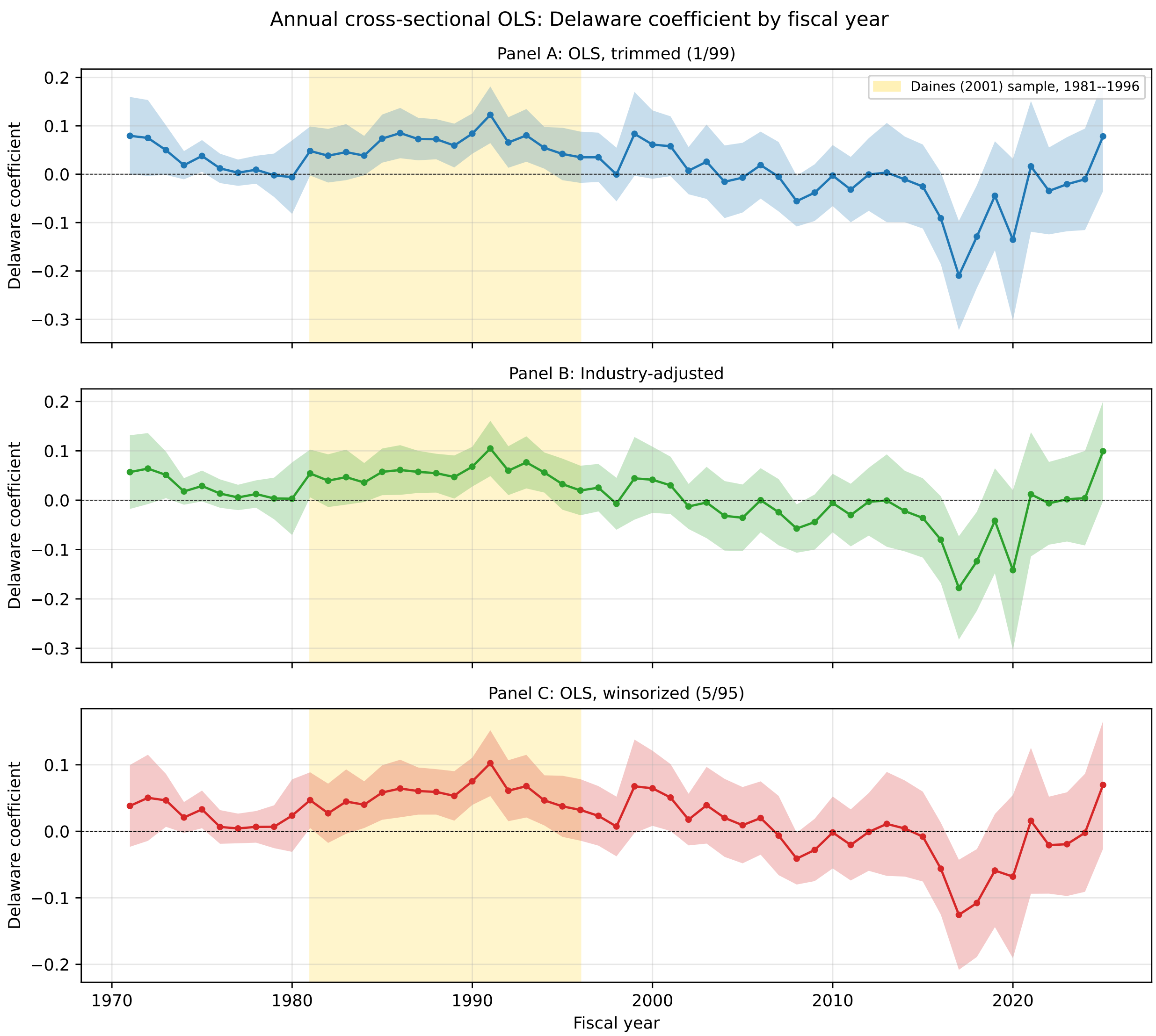


Figure 4: Delaware M&A Propensity and the q Premium. The left axis shows the per-year Delaware coefficient $\hat{\beta}_t$ from $y_{it} = \alpha + \hat{\beta}_t\,\text{Delaware}_i + \hat{\gamma}'\mathbf{X}_{it} + \delta_j + \varepsilon_{it}$, estimated separately for each year, where y_{it} is the target indicator (solid line) or acquirer indicator (dashed line), $\mathbf{X}_{it}$ includes log assets and ROA, and δ_j are two-digit SIC fixed effects. The right axis shows the per-year Delaware q premium from the winsorized intangible-adjusted specification in Table 4. Both series are plotted as deviations from their 2001 value. The yellow band marks the Daines (2001) window and the dotted vertical line marks SOX (2002). Standard errors are White (1980) robust. M&A data come from SDC Platinum and span 1985–2021; firm characteristics come from Compustat annual.

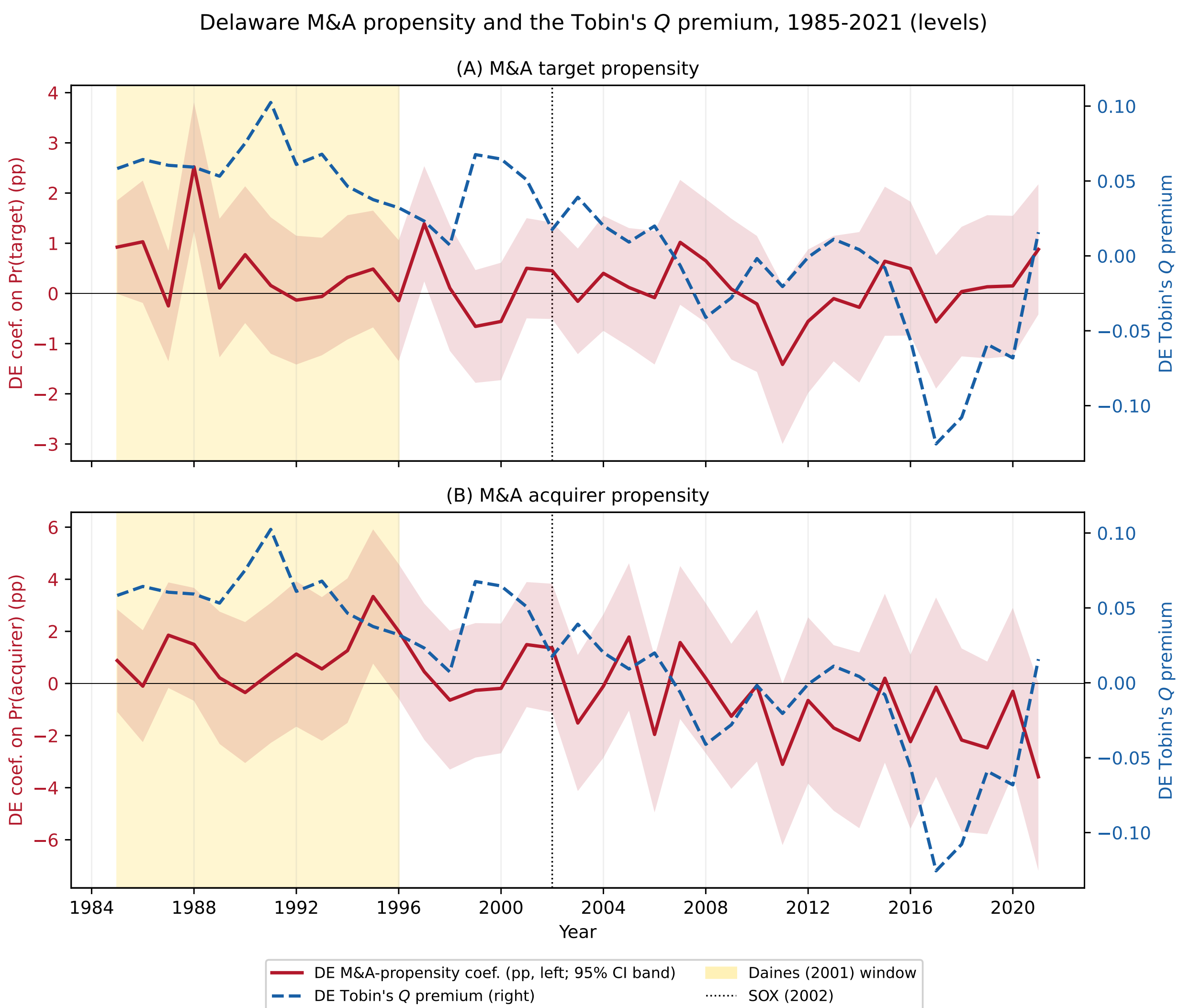


Figure 5: Delaware Premium and Court of Chancery Salience. The top panel plots the annual Delaware coefficient from the winsorized intangible-adjusted specification in Table 4. The middle panel plots annual Google Books Ngram frequency (parts per billion) for the composite "Delaware Court of Chancery" / "Delaware Chancery" (left axis, blue) and "Sarbanes-Oxley" (right axis, orange). The bottom panel plots SOX's share of cumulative Ngram attention, defined as cumulative SOX mentions divided by cumulative SOX plus Delaware Chancery mentions combined, with a dotted horizontal line at 50%. The dashed vertical line marks 2002, the year SOX was enacted. Ngram data come from Google Books Ngram Viewer and span 1971–2019.

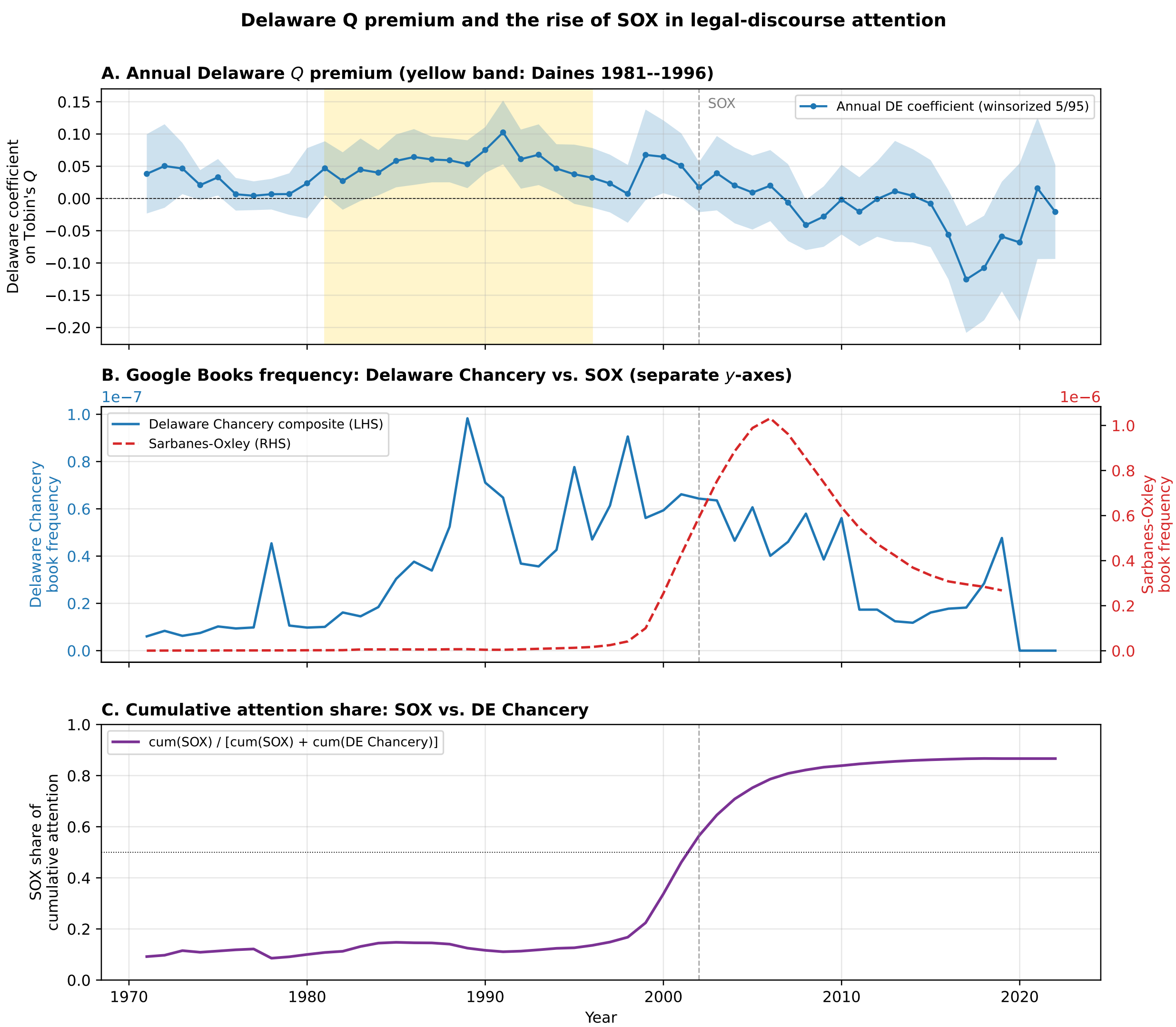


Figure 6: Monthly Google Trends: Court of Chancery. Bars show a composite index defined as the per-month sum of the Google Trends indices for the queries "Delaware Court of Chancery" and "Delaware Chancery Court." The solid line is the 12-month trailing moving average. Dashed vertical lines mark Twitter v. Musk filed in Chancery (July 2022), the Chancery voiding of Musk's $56B Tesla compensation (January 2024), SB 21 signed into law (March 2025), and the Delaware Supreme Court reversal of the pay ruling (December 2025). Google Trends data span 2004–2026.

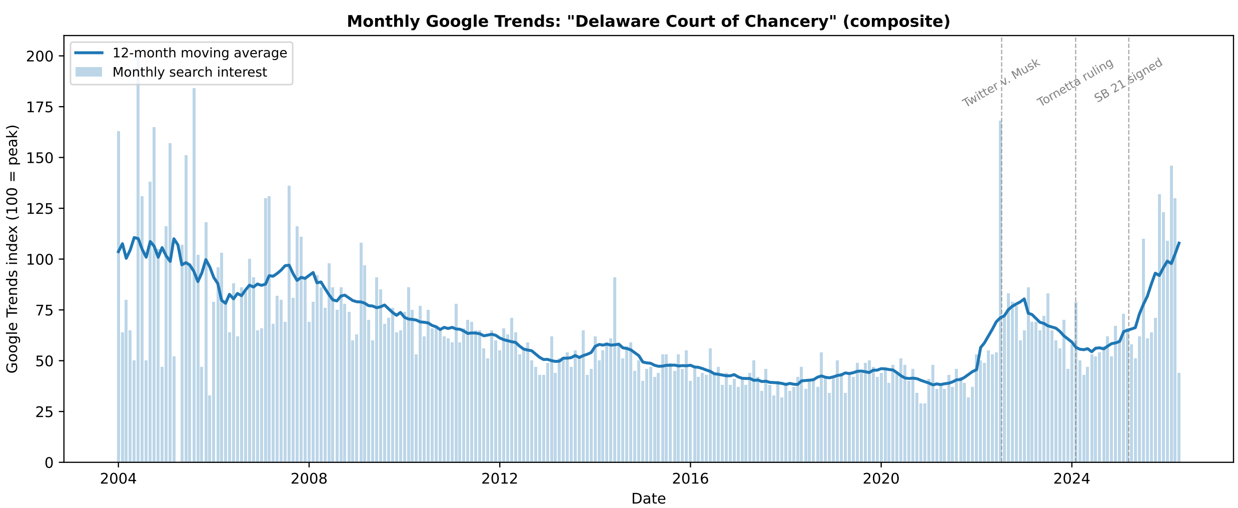


Figure 7: Weekly Google Trends: Court of Chancery. Bars show a weekly composite index defined as the per-week sum of the Google Trends indices for the queries "Delaware Chancery Court" and "Delaware Court of Chancery." The solid line is the 12-week centered moving average. Dashed vertical lines mark the Twitter v. Musk filing (July 2022), the Chancery voiding of Musk's $56B pay (January 2024), and SB 21 signed into law (March 2025). Google Trends data span 2020–2025.

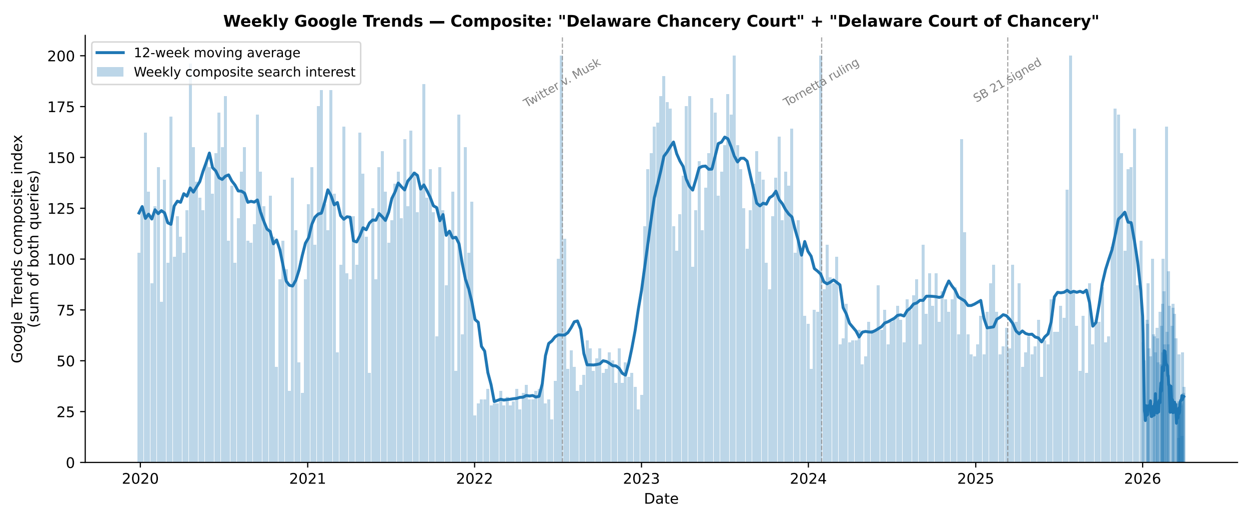


Figure 8: SOX Enactment Episode: Size-Controlled Delaware Effect. The line plots the Delaware coefficient $\hat{\beta}$ (percentage points) from $\text{CAAR}_i(t) = \hat{\beta}\,\text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where $\text{CAAR}_i(t)$ is firm i's cumulative industry-adjusted abnormal return at trading day t, rebaselined to zero at June 24, 2002 (the day before WorldCom's disclosure), X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit SIC fixed effects. The shaded vertical band marks the WorldCom–Xerox–SEC cascade (June 25–July 1). Dashed markers denote the Tyco/Kozlowski indictment (June 3), the Senate's 97–0 vote (July 15), the signing (July 30), and the October 9 market bottom. Pre-baseline points serve as a parallel-trends check. The industry benchmark is the full CRSP common-stock universe. Firm characteristics are from the last fiscal year before the episode. Dot-com firms are excluded. Standard errors are White (1980) robust. The shaded band around the line is a 95% confidence interval.

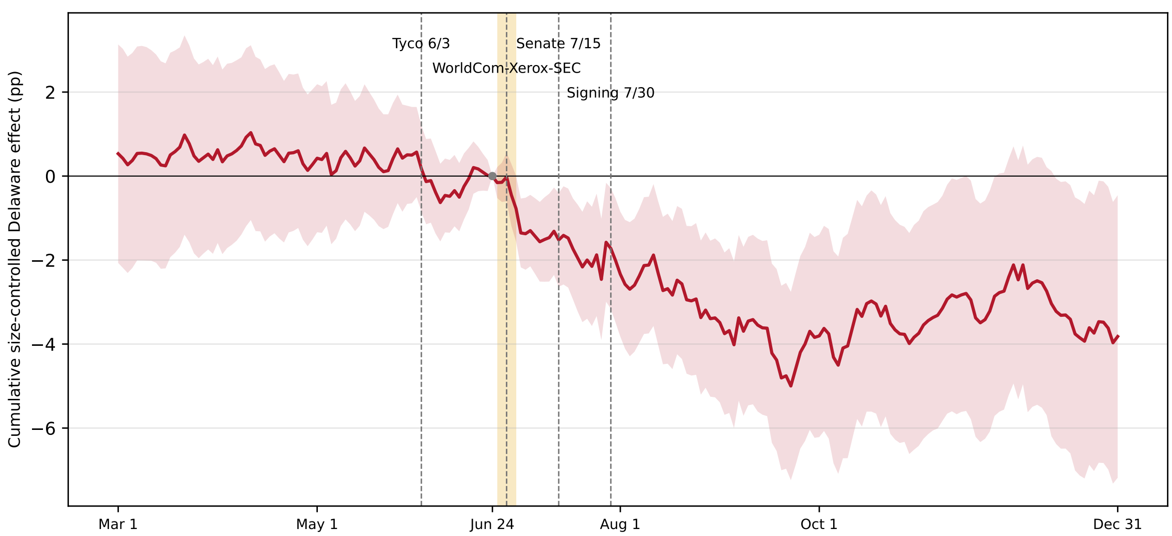


Figure 9: Weak-Bill Null: House Passage of the Oxley Bill. The figure plots $\hat{\beta}_t$ from $\mathrm{CAAR}_i(t) = \alpha + \hat{\beta}_t\,\mathrm{Delaware}_i + \hat{\gamma}' X_i + \delta_{\mathrm{SIC2}} + \varepsilon_i$, where $\mathrm{CAAR}_i(t)$ is firm i's cumulative industry-adjusted abnormal return rebaselined at $t = -1$, X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit SIC fixed effects. The window is $[-10, +10]$ trading days around the House passage of the Oxley bill (April 24, 2002). The shaded band is a 95% confidence interval. Dot-com firms are excluded. Standard errors are White (1980) robust.

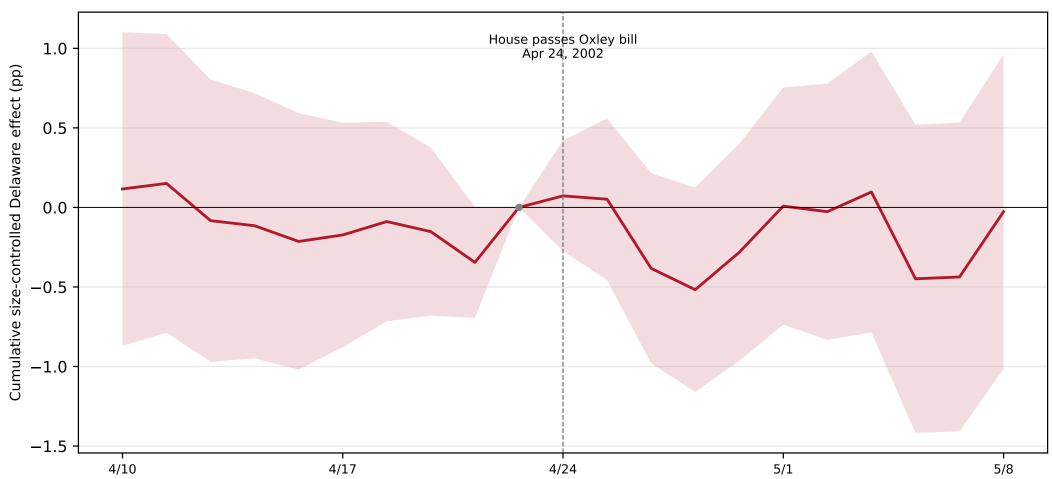


Figure 10: Enron Placebo: Size-Controlled Delaware Effect. The figure plots $\hat{\beta}_t$ from $\text{CAAR}_i(t) = \alpha + \hat{\beta}_t \,\text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where $\text{CAAR}_i(t)$ is firm i's cumulative industry-adjusted abnormal return rebaselined at $t = -1$, X_i collects log sales, R&D/assets, current and lagged ROA, and δ_{SIC2} are two-digit SIC fixed effects. The window is $[-10, +10]$ trading days around the Enron third-quarter shock (October 16, 2001). The shaded band is a 95% confidence interval. Dot-com firms are excluded. Standard errors are White (1980) robust.

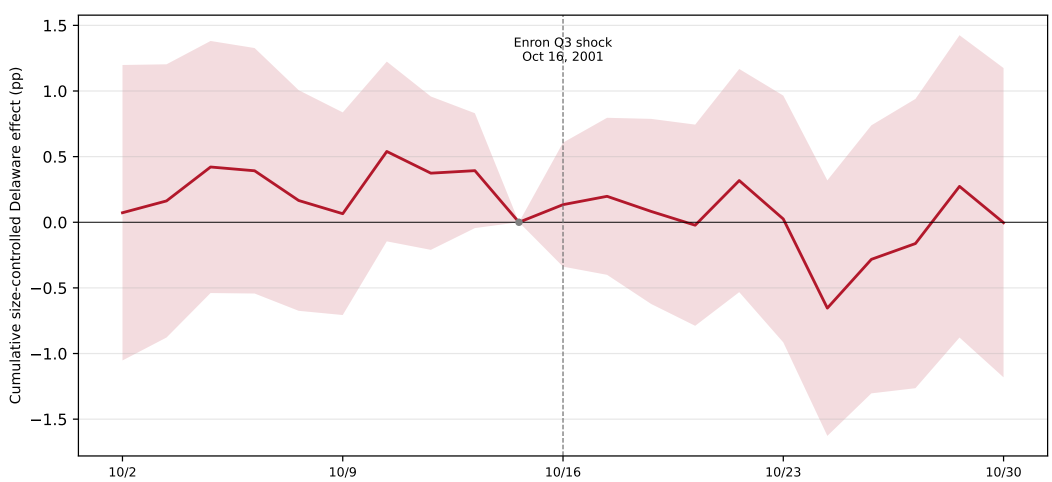


Figure 11: Randomization Placebo Test. The histogram shows the distribution of the size-controlled Delaware coefficient, measured on a ten trading day window around each pseudo-event date, estimated on 150 pseudo-event dates drawn from 2001–2002 trading days that lie more than twelve trading days from any real SOX or scandal date (seed 42, without replacement). For each pseudo-date the statistic is $\hat{\beta}$ (percentage points) from $\text{CAAR}_i(t{=}10) = \hat{\beta}\,\text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, where $\text{CAAR}_i(t{=}10)$ is firm i's cumulative industry-adjusted abnormal return through trading day ten after the pseudo-event, rebaselined at $t = -1$, and X_i collects log sales, R&D/assets, current and lagged ROA. The five real events are placed on the same axis. The WorldCom cascade sits in the extreme left tail ($p = 0.01$) and the signing also falls in the tail ($p = 0.07$); the House vote, Enron shock, and Senate vote fall in the bulk of the distribution ($p = 0.62$, 0.64, 0.67). Dot-com firms are excluded. Standard errors are White (1980) robust.

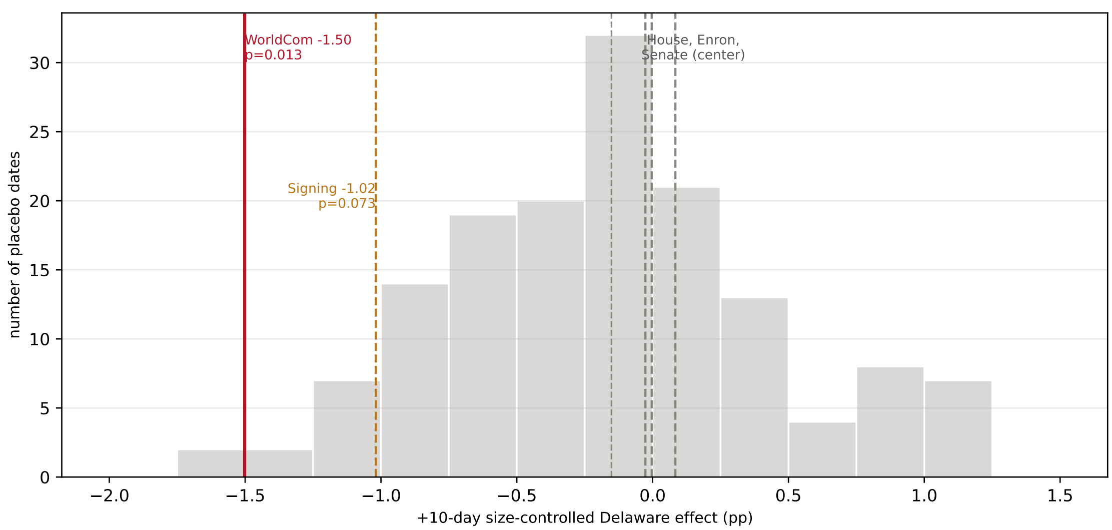


Figure 12: DExit Cohort Composition. Median Tobin's q, market capitalization ($M), leverage (debt/assets), and firm age (years in Compustat) for completed DExit firms—each measured in the fiscal year before the reincorporation proposal—against all Delaware-incorporated firms and all non-Delaware firms in 2022–2024. Firm characteristics come from Compustat annual.

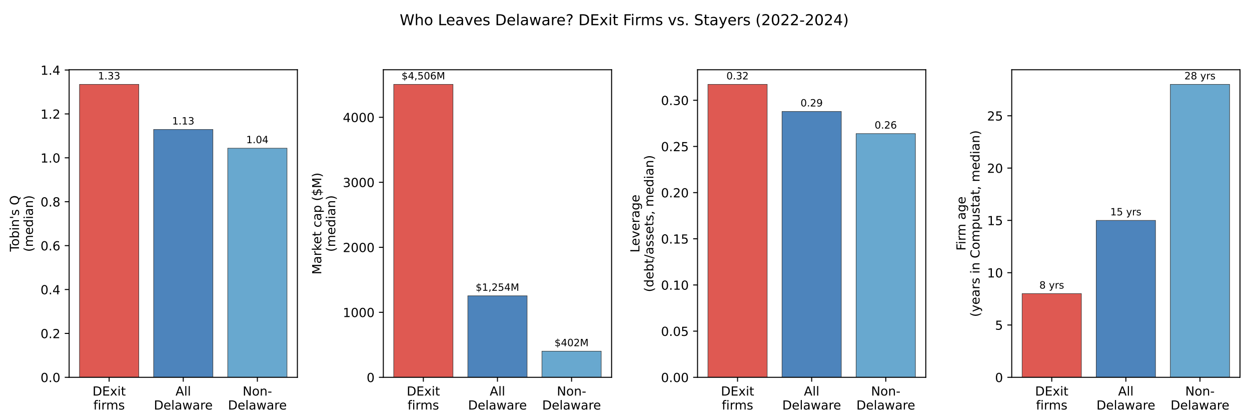


Figure 13: DExit Proposal Announcement Returns. The figure plots equal-weighted mean cumulative abnormal returns (CARs) across all 18 DExit firms in a ±20 trading day window around each reincorporation proposal announcement, rebaselined to zero at $t = -1$. Abnormal returns are computed as $\text{AR}_{i,d} = \text{RET}_{i,d} - \overline{\text{RET}}_{\text{SIC2}(i),d}$, where the benchmark is the equal-weighted SIC2-mean daily return among CRSP-covered firms. The shaded band is ±1.96 cross-firm standard errors. Daily returns come from CRSP and span the proposal dates of the DExit cohort.

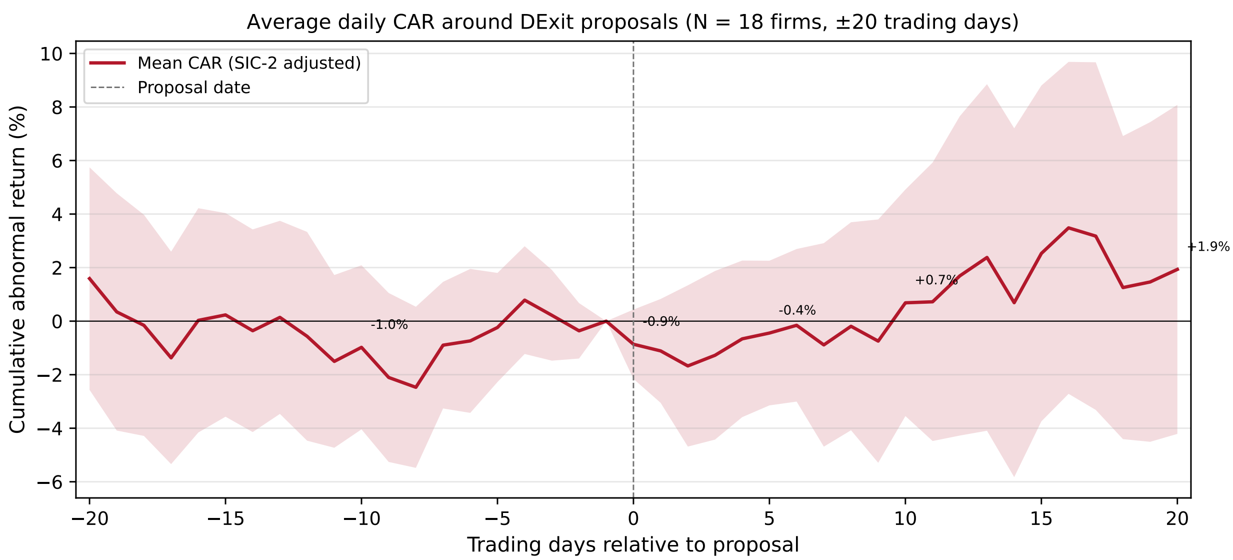
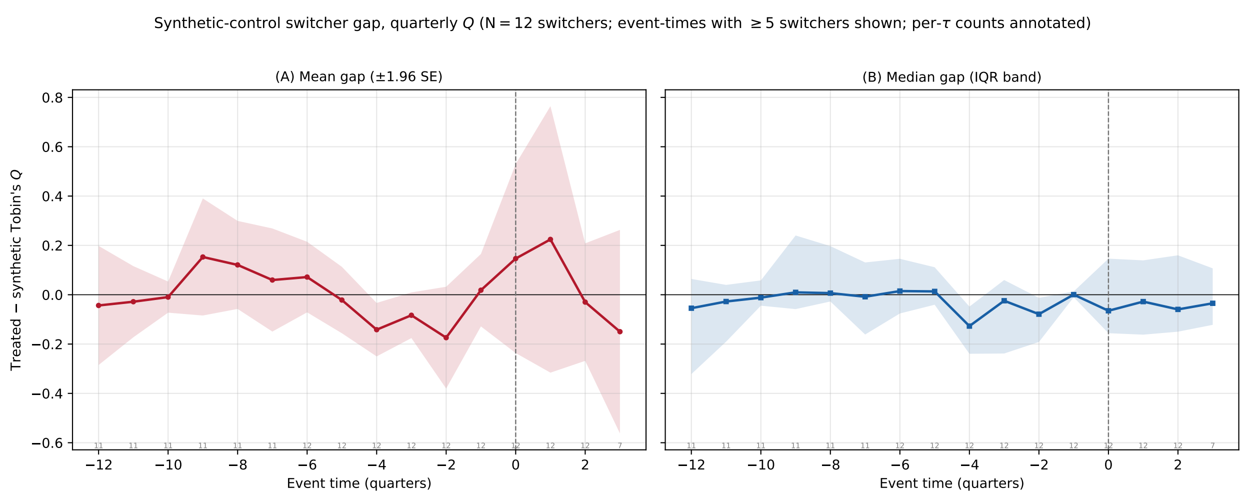


Figure 14: Synthetic Control Estimates: Leaving Delaware. For each completed DExit reincorporating firm a synthetic control is built with `pysyncon` from a donor pool of Delaware-incorporated stayers in the same two-digit SIC, choosing donor weights to match the reincorporating firm on log sales, R&D/assets, ROA, and pre-proposal Tobin's q—both the pre-window average and the last pre-proposal quarter—over up to twelve pre-proposal quarters. The donor pool is restricted to stayers with data for every quarter the reincorporating firm has and screened to the forty closest in pre-window average q. Panel (A) plots the mean treated-minus-synthetic q gap across reincorporating firms with a ± 1.96 SE band; Panel (B) plots the median with an interquartile band. $\tau = 0$ is the proposal quarter. Both panels restrict to reincorporating firms whose pre-fit RMSPE is at most twice the median; the aggregate is shown only for event-times with at least five contributing firms, with per-τ counts annotated. Per-firm fits, covariate balance, and donor portfolio weights are in Appendix D. Firm characteristics come from Compustat quarterly.



A Appendix

Figure A.A.1: SOX Enactment Episode: Size Split. The figure plots $\hat{\beta}_t$ from $\text{CAAR}_i(t) = \alpha + \hat{\beta}_t \,\text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}} + \varepsilon_i$, estimated separately for each trading day t over the March 1–December 31, 2002 window, rebaselined at June 24, 2002, where X_i collects log sales, R&D/assets, current and lagged ROA. Panel (A) restricts to firms with FY2001 market capitalization below the cross-sectional median. Panel (B) restricts to firms above the median. The amber band marks the WorldCom–Xerox–SEC cascade; dashed vertical lines mark the WorldCom disclosure (June 25) and the signing (July 30). Dot-com firms are excluded. Standard errors are White (1980) robust.

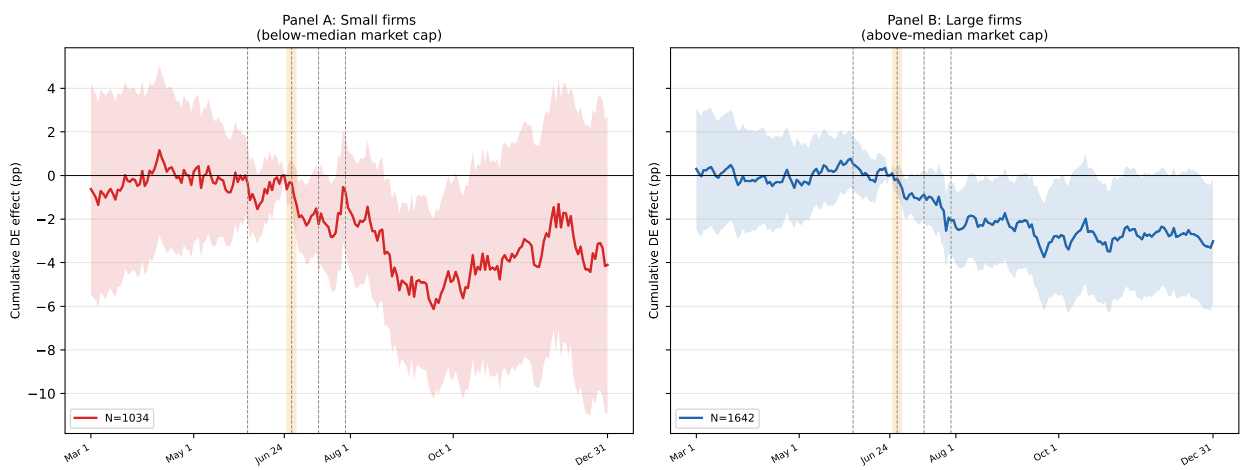


Figure A.A.2: SOX Enactment Episode: Median Regression Robustness. Each point plots the Delaware coefficient (percentage points) from the cross-sectional median regression $\text{Median}[\text{CAAR}_i(t)] = \hat{\beta}_t\,\text{Delaware}_i + \hat{\gamma}' X_i + \delta_{\text{SIC2}}$, estimated separately for each trading day t over the same window and baseline as Figure 8, where X_i collects log sales, R&D/assets, current and lagged ROA and δ_{SIC2} are two-digit SIC fixed effects. Standard errors are from the QuantReg sandwich estimator (Hall–Sheather bandwidth). The amber band marks the WorldCom–Xerox–SEC cascade; dashed lines mark the WorldCom disclosure (June 25) and the signing (July 30). Dot-com firms are excluded.

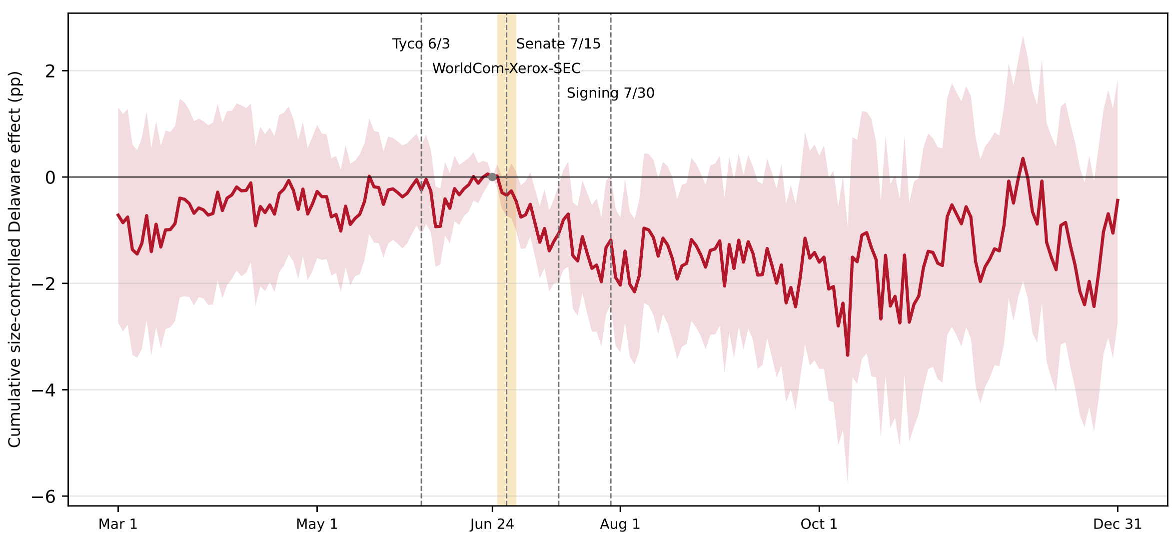
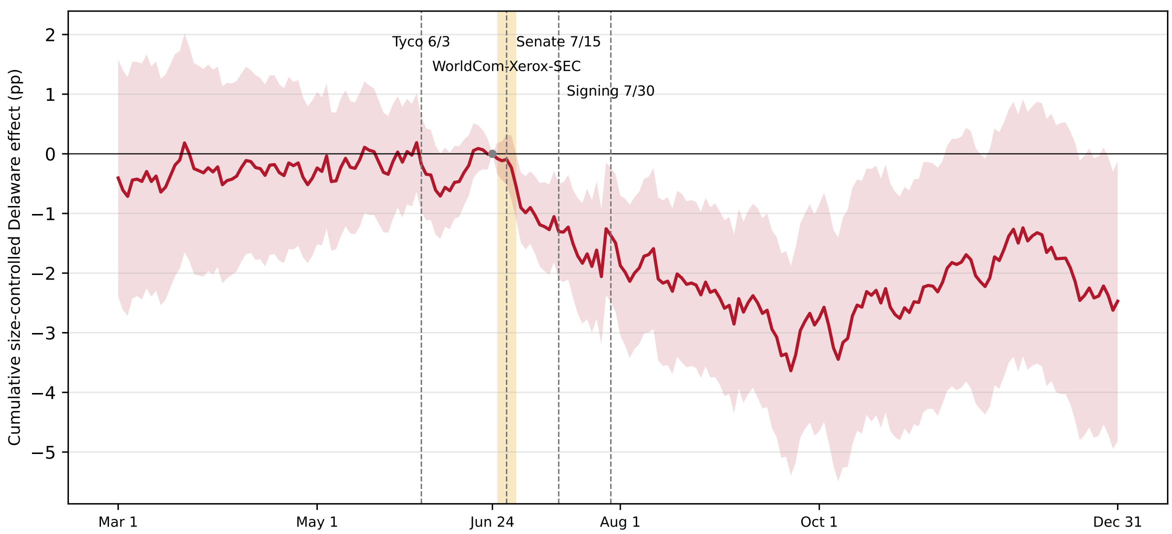


Figure A.A.3: SOX Enactment Episode: Winsorized-Returns Robustness. The figure plots $\hat{\beta}_t$ from $\mathrm{CAAR}_i(t) = \hat{\beta}_t\,\mathrm{Delaware}_i + \hat{\gamma}' X_i + \delta_{\mathrm{SIC2}} + \varepsilon_i$, estimated separately for each trading day t over the same window and baseline as Figure 8, except that $\mathrm{CAAR}_i(t)$ is winsorized at the 5th and 95th percentiles of the cross-section before fitting. X_i collects log sales, R&D/assets, current and lagged ROA. The amber band marks the WorldCom–Xerox–SEC cascade; dashed lines mark the WorldCom disclosure (June 25) and the signing (July 30). Dot-com firms are excluded. Standard errors are White (1980) robust.



B Heterogeneity moderators: per-period tables and split figures

This appendix collects full per-period split tables (Panel A interaction by period; Panel B triple-difference) for the heterogeneity moderators whose summary triple-difference appears in Table 7 but whose detailed tables are not in the main text. Tables 8, 9, and 10 (size, listing venue, and material weakness) appear in the main text. The remaining moderators are reported here: size, continuous specification (Table A.B.1); institutional ownership, binary split (Table A.B.2) and continuous specification (Table A.B.3); controlled-company status (Table A.B.4); dual-class share structure (Table A.B.5); SOX 404 audit-fee shock (Table A.B.6); and accelerated-filer status (Table A.B.7).

Table A.B.1: Delaware Premium by Firm Size: Continuous Specification. Panels A and B report estimates from $q_{it} = \alpha + \beta_1\,\text{Delaware}_i + \beta_2\,z(\log\text{Sales})_{it} + \beta_3(\text{Delaware}_i \times z(\log\text{Sales})_{it}) + \beta_4\,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(z(\log\text{Sales})_{it} \times \text{Post}_t) + \theta(\text{Delaware}_i \times z(\log\text{Sales})_{it} \times \text{Post}_t) + \mathbf{X}_{it}'\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, where $z(\log\text{Sales})_{it}$ is log sales standardized within the estimation sample and $\mathbf{X}_{it}$ includes R&D/assets, ROA, and lagged ROA (log sales is the splitting variable and is omitted from controls). Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Log sales (z) interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.048***	-0.031	+0.022
	(0.012)	(0.022)	(0.014)
Log sales (z)	-0.084***	-0.013	-0.050**
	(0.029)	(0.021)	(0.020)
DE × Log sales (z)	-0.008	+0.075***	+0.033**
	(0.015)	(0.022)	(0.015)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	72,918	60,910	133,828
R^2	0.095	0.089	0.082

Panel B: Triple-difference

	Coefficient
Delaware	+0.042*** (0.012)
Log sales (z)	-0.065*** (0.022)
DE × Log sales (z)	-0.021 (0.014)
DE × Post-2002	-0.091*** (0.026)
Log sales (z) × Post-2002	+0.020 (0.028)
DE × Log sales (z) × Post-2002	+0.113*** (0.024)
Controls	Yes
Industry FE	Yes
N	151,462
R^2	0.109

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table A.B.2: Delaware Premium by Institutional Ownership. Panels A and B report estimates from $q_{it} = \alpha + \beta_1 \text{Delaware}_i + \beta_2 \text{HighInst}_{it} + \beta_3(\text{Delaware}_i \times \text{HighInst}_{it}) + \beta_4 \text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{HighInst}_{it} \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{HighInst}_{it} \times \text{Post}_t) + \mathbf{X}'_{it}\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, where HighInst_{it} equals one if a firm-year's institutional ownership percentage is above the within-year median (13F data, 1999–2025) and $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × High IO interaction

	Pre-SOX (1999–2001)	Post-SOX (2002–2025)	Full sample (1999–2025)
Delaware	+0.14***	+0.06*	+0.07**
	(0.03)	(0.03)	(0.03)
High IO	+0.28***	+0.12***	+0.14***
	(0.09)	(0.04)	(0.04)
DE × High IO	-0.01	-0.01	+0.00
	(0.05)	(0.05)	(0.04)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	9,688	50,865	60,553
R^2	0.11	0.08	0.07

Panel B: Triple-difference

	Coefficient
Delaware	+0.20*** (0.04)
High IO	+0.15* (0.08)
DE × High IO	-0.03 (0.04)
DE × Post-2002	-0.16*** (0.04)
High IO × Post-2002	-0.01 (0.08)
DE × High IO × Post-2002	+0.04 (0.06)
Controls	Yes
Industry FE	Yes
N	60,553
R^2	0.07

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Note: Panel A columns are separate per-period cross-sectional regressions, each estimating its own controls and fixed effects; Panel B is a single pooled triple-difference holding controls and fixed effects common across the pre/post split. The Panel B triple-difference is therefore the pooled estimand and need not equal the pre-to-post change in the Panel A interaction.

Table A.B.3: Delaware Premium by Institutional Ownership: Continuous Specification. Panels A and B report estimates from $q_{it} = \alpha + \beta_1 \,\text{Delaware}_i + \beta_2 \, z(\text{InstOwn})_{it} + \beta_3(\text{Delaware}_i \times z(\text{InstOwn})_{it}) + \beta_4 \,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(z(\text{InstOwn})_{it} \times \text{Post}_t) + \theta(\text{Delaware}_i \times z(\text{InstOwn})_{it} \times \text{Post}_t) + \mathbf{X}'_{it}\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, where $z(\text{InstOwn})_{it}$ is institutional ownership standardized within the estimation sample and $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Inst. own. (z) interaction

	Pre-SOX (1999–2001)	Post-SOX (2002–2025)	Full sample (1999–2025)
Delaware	+0.12***	+0.05**	+0.06***
	(0.03)	(0.02)	(0.02)
Inst. own. (z)	+0.24***	+0.12***	+0.14***
	(0.05)	(0.02)	(0.02)
DE × Inst. own. (z)	-0.01	-0.03	-0.04*
	(0.04)	(0.02)	(0.02)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	9,688	50,865	60,553
R^2	0.11	0.08	0.07

Panel B: Triple-difference

	Coefficient
Delaware	+0.16*** (0.04)
Inst. own. (z)	+0.15*** (0.05)
DE × Inst. own. (z)	-0.03 (0.04)
DE × Post-2002	-0.12*** (0.04)
Inst. own. (z) × Post-2002	-0.02 (0.05)
DE × Inst. own. (z) × Post-2002	+0.01 (0.04)
Controls	Yes
Industry FE	Yes
N	60,553
R^2	0.07

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Note: Panel A columns are separate per-period cross-sectional regressions, each estimating its own controls and fixed effects; Panel B is a single pooled triple-difference holding controls and fixed effects common across the pre/post split. The Panel B triple-difference is therefore the pooled estimand and need not equal the pre-to-post change in the Panel A interaction.

Table A.B.4: Delaware Premium by Controlled-Company Status. Panels A and B report estimates from $q_{it} = \alpha + \beta_1\,\text{Delaware}_i + \beta_2\,\text{NonControlled}_i + \beta_3(\text{Delaware}_i \times \text{NonControlled}_i) + \beta_4\,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{NonControlled}_i \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{NonControlled}_i \times \text{Post}_t) + \mathbf{X}'_{it}\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, where NonControlled_i equals one if firm i's CIK does not appear in DEF 14A filings (2003–2024) claiming the NYSE 303A.00 / Nasdaq 5615(c) controlled-company exemption, pinned at 2002 status. $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Non-controlled interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.021	-0.045	-0.014
	(0.064)	(0.066)	(0.057)
Non-controlled	-0.073	-0.026	-0.047
	(0.055)	(0.060)	(0.051)
DE × Non-controlled	+0.036	+0.048	+0.049
	(0.066)	(0.070)	(0.058)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	58,607	51,183	109,790
R^2	0.085	0.096	0.075

Panel B: Triple-difference

	Coefficient
Delaware	-0.022 (0.060)
Non-controlled	-0.072 (0.053)
DE × Non-controlled	+0.073 (0.062)
DE × Post-2002	+0.020 (0.068)
Non-controlled × Post-2002	+0.072 (0.059)
DE × Non-controlled × Post-2002	-0.065 (0.074)
Controls	Yes
Industry FE	Yes
N	119,641
R^2	0.091

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table A.B.5: Delaware Premium by Share-Class Structure. Panels A and B report estimates from $q_{it} = \alpha + \beta_1\,\text{Delaware}_i + \beta_2\,\text{SingleClass}_i + \beta_3(\text{Delaware}_i \times \text{SingleClass}_i) + \beta_4\,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{SingleClass}_i \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{SingleClass}_i \times \text{Post}_t) + \mathbf{X}'_{it}\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, where SingleClass_i equals one for firms without a dual-class share structure (CRSP share-class indicator, pinned at 2002 status) and $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Single-class interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.121**	+0.026	+0.089*
	(0.048)	(0.072)	(0.052)
Single-class	+0.062	+0.050	+0.066
	(0.040)	(0.060)	(0.042)
DE × Single-class	-0.070	-0.032	-0.062
	(0.051)	(0.074)	(0.053)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	58,607	51,183	109,790
R^2	0.085	0.096	0.075

Panel B: Triple-difference

	Coefficient
Delaware	+0.097** (0.047)
Single-class	+0.068* (0.037)
DE × Single-class	-0.054 (0.048)
DE × Post-2002	-0.033 (0.078)
Single-class × Post-2002	+0.002 (0.062)
DE × Single-class × Post-2002	-0.010 (0.080)
Controls	Yes
Industry FE	Yes
N	119,641
R^2	0.091

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table A.B.6: Delaware Premium by SOX 404 Audit-Fee Shock. Panels A and B report estimates from $q_{it} = \alpha + \beta_1\,\text{Delaware}_i + \beta_2\,\text{HighFeeShock}_i + \beta_3(\text{Delaware}_i \times \text{HighFeeShock}_i) + \beta_4\,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{HighFeeShock}_i \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{HighFeeShock}_i \times \text{Post}_t) + \mathbf{X}'_{it}\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, where HighFeeShock_i equals one if firm i's 2001–2005 change in log audit fees is above the sample median (Audit Analytics). $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × High audit-fee shock interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.100***	+0.024	+0.054*
	(0.035)	(0.038)	(0.031)
High audit-fee shock	+0.153***	+0.100**	+0.130***
	(0.038)	(0.050)	(0.036)
DE × High audit-fee shock	-0.027	-0.019	-0.017
	(0.050)	(0.055)	(0.044)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	28,152	35,769	63,921
R^2	0.108	0.112	0.091

Panel B: Triple-difference

	Coefficient
Delaware	+0.088*** (0.033)
High audit-fee shock	+0.112*** (0.037)
DE × High audit-fee shock	-0.024 (0.048)
DE × Post-2002	-0.061 (0.041)
High audit-fee shock × Post-2002	+0.022 (0.050)
DE × High audit-fee shock × Post-2002	+0.002 (0.061)
Controls	Yes
Industry FE	Yes
N	69,195
R^2	0.102

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

Table A.B.7: Delaware Premium by Accelerated-Filer Status. Panels A and B report estimates from $q_{it} = \alpha + \beta_1 \,\text{Delaware}_i + \beta_2 \,\text{Accelerated}_i + \beta_3(\text{Delaware}_i \times \text{Accelerated}_i) + \beta_4 \,\text{Post}_t + \beta_5(\text{Delaware}_i \times \text{Post}_t) + \beta_6(\text{Accelerated}_i \times \text{Post}_t) + \theta(\text{Delaware}_i \times \text{Accelerated}_i \times \text{Post}_t) + \mathbf{X}'_{it}\boldsymbol{\gamma} + \delta_j + \delta_t + \varepsilon_{it}$, where Accelerated_i equals one if firm i is an accelerated or large-accelerated filer subject to the full SOX 404 compliance regime (Audit Analytics). $\mathbf{X}_{it}$ includes log sales, R&D/assets, current and lagged ROA. Panel A reports the interaction β_3 by period; Panel B reports the triple-difference $\hat{\theta}$. Standard errors are White (1980) robust.

Panel A: Pooled OLS with Delaware × Accelerated filer interaction

	Pre-SOX (1981–2001)	Post-SOX (2002–2025)	Full sample (1981–2025)
Delaware	+0.067*	-0.026	+0.022
	(0.034)	(0.044)	(0.032)
Accelerated filer	+0.331***	+0.147*	+0.254***
	(0.038)	(0.081)	(0.047)
DE × Accelerated filer	+0.003	+0.004	-0.006
	(0.045)	(0.054)	(0.040)
Controls	Yes	Yes	Yes
Industry FE	Yes	Yes	Yes
N	37,729	49,051	86,780
R^2	0.098	0.074	0.070

Panel B: Triple-difference

	Coefficient
Delaware	+0.065* (0.033)
Accelerated filer	+0.246*** (0.043)
DE × Accelerated filer	-0.011 (0.044)
DE × Post-2002	-0.080* (0.048)
Accelerated filer × Post-2002	-0.006 (0.054)
DE × Accelerated filer × Post-2002	+0.007 (0.062)
Controls	Yes
Industry FE	Yes
N	93,269
R^2	0.079

*** $p < 0.01$; ** $p < 0.05$; * $p < 0.10$.

C Side-by-Side Comparison with Daines (2001)

This appendix sets this project's replication-sample descriptive statistics beside the values Daines (2001) reported in his Table 1 for 1981–1996. The replication tracks the published figures closely—the Delaware and non-Delaware means and medians of Tobin's q are within rounding of Daines's—using standard (non-intangible-adjusted) q trimmed at the 1st and 99th percentiles within each fiscal year over the same 1981–1996 window, excluding utilities and financials. We do not reproduce the original sample exactly: Daines required hand-collected business-segment data and reincorporation records that this project does not use, and our panel applies the project's standard screens (at least five firm-years per firm; dot-com firms excluded in the main specification) and a per-year rather than global 1/99 trim. These differences leave the replication sample modestly larger than Daines's (Table A.C.1) and make business-segment counts unavailable (shown as "–"); the close agreement on q levels nonetheless confirms the replication is faithful.

Table A.C.1: Replication of Daines (2001) Descriptive Statistics. The "Published" columns reproduce values from Daines (2001) Table 1. The "Replication" columns report estimates from Compustat annual data over 1981–1996, excluding utilities and financials, requiring at least five firm-years per firm, and trimming Tobin's q at the 1st and 99th percentiles within each fiscal year. The replication sample is modestly larger than Daines's because it does not require hand-collected business-segment data; business-segment counts are shown as "–" accordingly.

Descriptive statistics for exchange-traded firms between 1981 and 1996. Financial firms and utilities are excluded. The "Published" columns reproduce the values reported in Table 1 of Daines (2001), based on 4,481 firms and 47,001 firm-years. The "Replication" columns report my estimates from Compustat, based on 6,336 firms and 53,358 firm-years. Sales are in millions of dollars. Debt/capital is the ratio of long-term debt plus debt in current liabilities to total assets. Tobin's Q is estimated as (market value of equity + book value of assets − book value of equity − deferred taxes) divided by book value of assets. Tobin's Q is trimmed at the 1st and 99th percentiles (observations outside these bounds are dropped). The number of business segments is unavailable in this extract and is shown as "–". Differences in sample size reflect the original study's requirement of segment data and its use of reincorporation records.

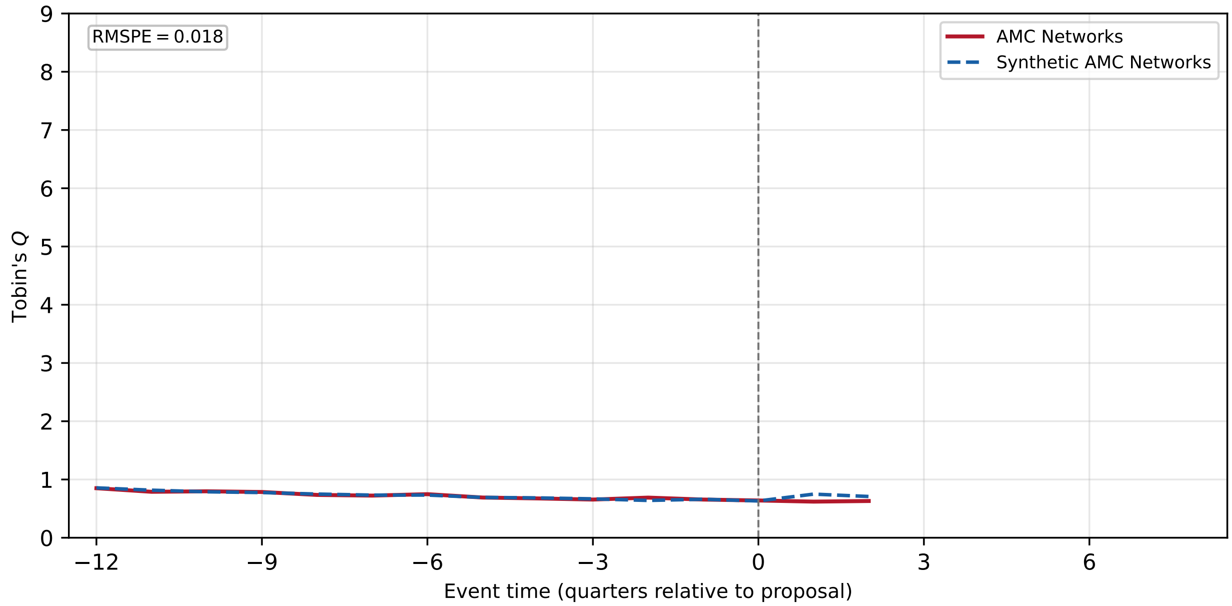
	Delaware firms				Other firms			
	Mean		Median		Mean		Median	
	Pub.	Repl.	Pub.	Repl.	Pub.	Repl.	Pub.	Repl.
Sales	1107.8	1032.0	153.3	102.8	928.2	688.0	105.4	61.0
Business segments	1.74	–	1.00	–	1.67	–	1.00	–
Debt/capital	0.46	0.27	0.45	0.25	0.42	0.25	0.41	0.23
Tobin's Q	1.73	1.75	1.31	1.31	1.65	1.68	1.28	1.28

D Synthetic-control detail: per-switcher fits

This appendix reports the per-switcher synthetic controls underlying Figure 14. Only the 11 switchers with a pre-proposal root mean squared prediction error (RMSPE) below 0.70 are shown; these are precisely the switchers included in the mean and median gap series in Figure 14, ordered from lowest to highest RMSPE. The five remaining switchers had poor pre-fit RMSPE and are excluded from both the aggregate figure and this appendix. For each included switcher the exhibit shows the switcher's quarterly Tobin's q against its synthetic control, the covariate balance of the match (treated vs. synthetic predictor means), and the donor portfolio weights.

Figure A.D.1: AMC Networks. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (3 post-quarters); the pool contains 27 eligible donors (SIC2 match). The top panel shows AMC Networks (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

AMC Networks



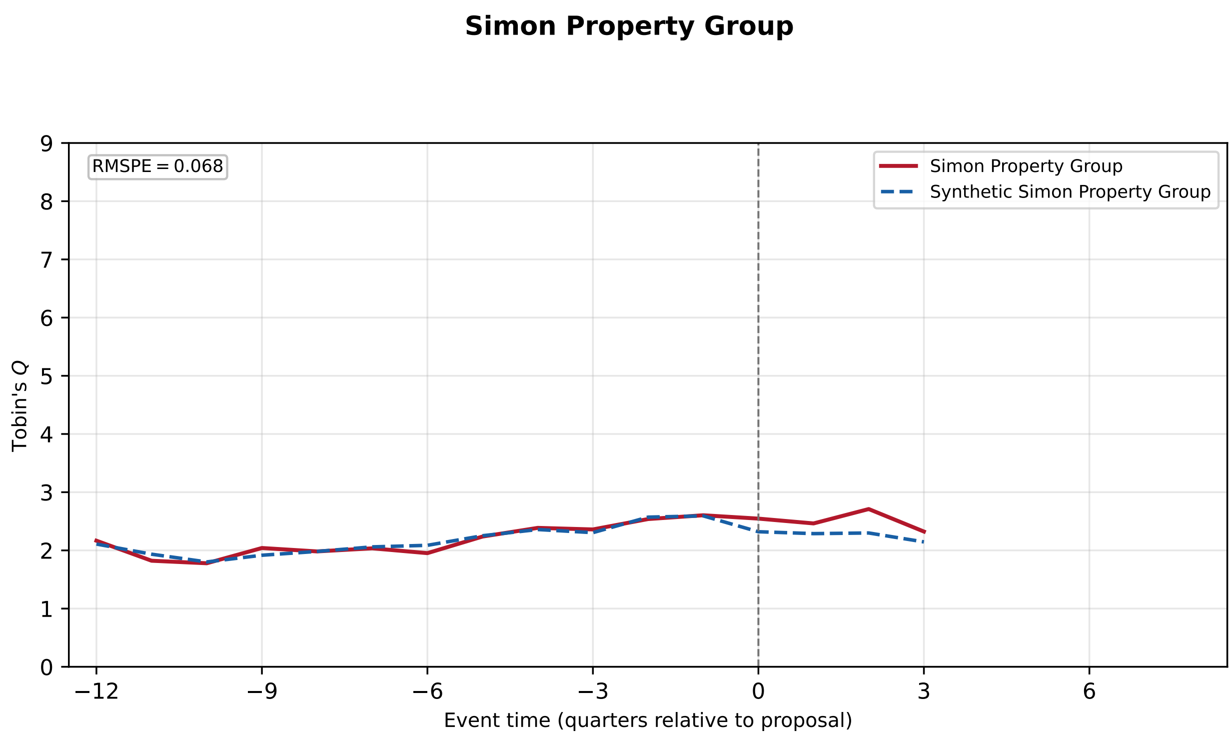
Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	0.733	0.733
Q (last pre)	0.655	0.661
log_sale	6.501	6.502
rd_at	0.000	0.000
roa	0.022	0.013

Donor portfolio

Donor company	Weight
Paramount Skydance Corp	33.1%
Salem Media Group Inc	29.5%
Tegna Inc	22.5%
Urban One Inc	8.4%
Cable One Inc	3.4%
Sirius Xm Holdings Inc	3.0%

Figure A.D.2: Simon Property Group. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (4 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Simon Property Group (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.



Covariate balance

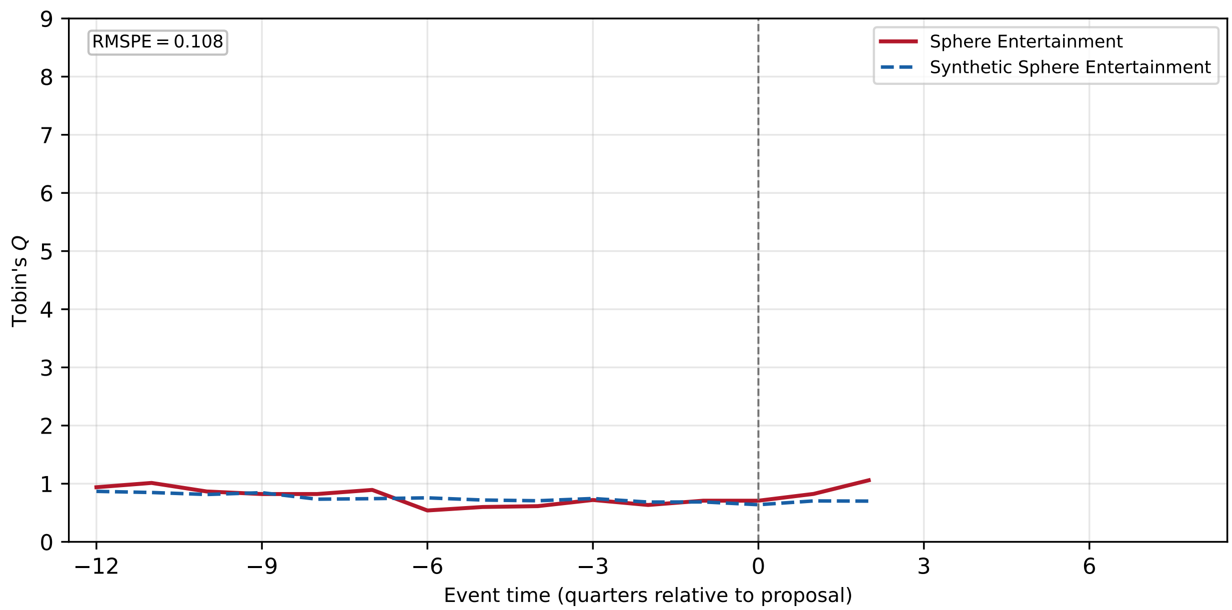
Covariate	Treated	Synthetic
Q (pre-mean)	2.159	2.164
Q (last pre)	2.604	2.593
log_sale	7.319	6.789
rd_at	0.000	0.000
roa	0.024	0.024

Donor portfolio

Donor company	Weight
Equinix Inc	39.4%
Iron Mountain Inc	35.4%
Natural Resource Partners	20.9%
American Tower Corp	4.3%

Figure A.D.3: Sphere Entertainment. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (3 post-quarters); the pool contains 27 eligible donors (SIC2 match). The top panel shows Sphere Entertainment (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

Sphere Entertainment



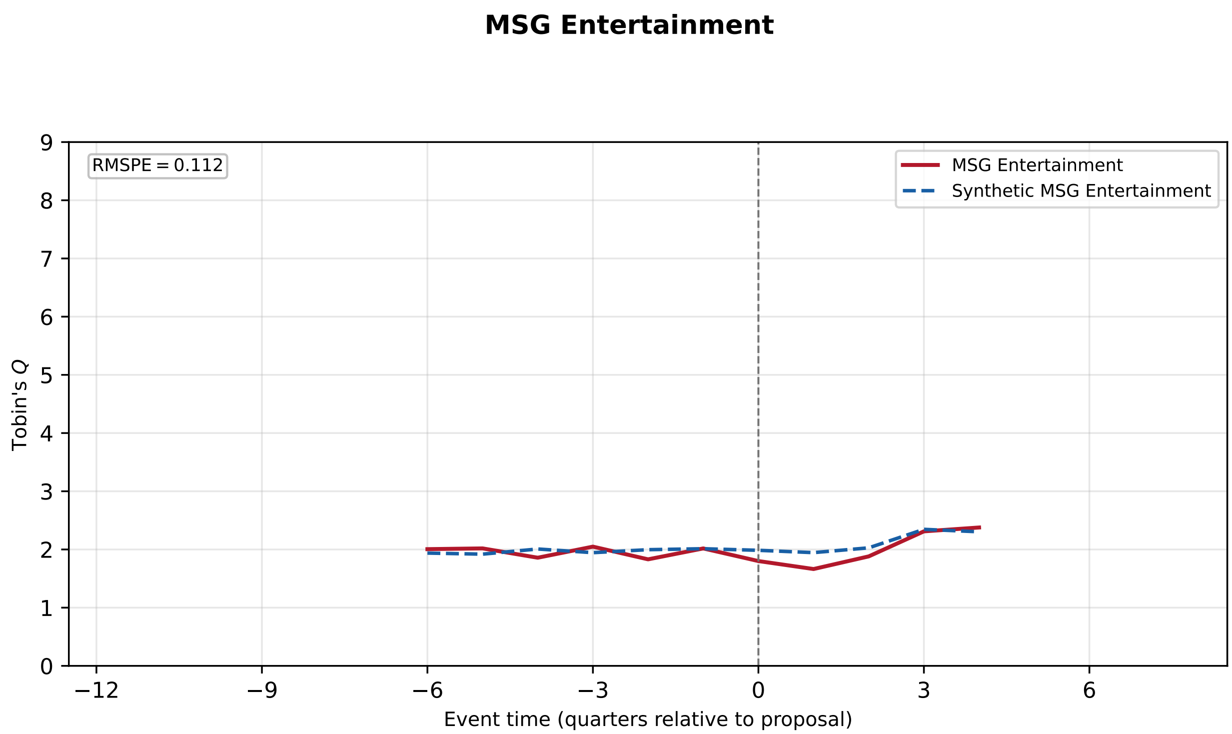
Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	0.764	0.763
Q (last pre)	0.708	0.687
log_sale	5.485	5.481
rd_at	0.000	0.000
roa	-0.009	0.003

Donor portfolio

Donor company	Weight
Salem Media Group Inc	54.1%
Paramount Skydance Corp	14.3%
Warner Bros Discovery Inc	7.8%
Urban One Inc	6.6%
Cogent Communications Hl	4.8%
Cable One Inc	3.7%
Atn International Inc	3.3%
Iheartmedia Inc	3.1%
Globalstar Inc	1.5%

Figure A.D.4: MSG Entertainment. The donor pool consists of Delaware-incorporated stayers in the same one-digit SIC (the donor pool was expanded from the two-digit SIC because that fit was poor) with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 6 pre-proposal quarters (5 post-quarters); the pool contains 20 eligible donors (SIC1 match). The top panel shows MSG Entertainment (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.



Covariate balance

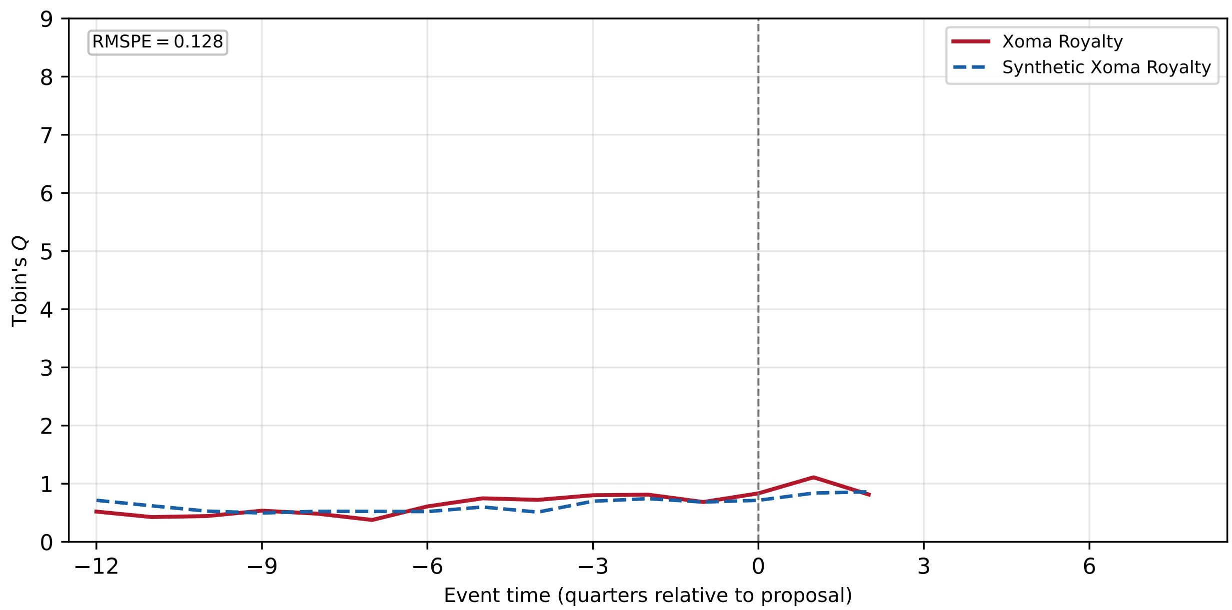
Covariate	Treated	Synthetic
Q (pre-mean)	1.963	1.970
Q (last pre)	2.018	2.013
log_sale	5.257	5.254
rd_at	0.000	0.000
roa	0.011	0.011

Donor portfolio

Donor company	Weight
Vail Resorts Inc	24.7%
Broadridge Financial Solut	23.2%
Intergroup Corp	22.2%
Zedge Inc	13.6%
Caci Intl Inc -Cl A	13.0%
Automatic Data Processing	2.2%
Treasure Global Inc	1.1%

Figure A.D.5: Xoma Royalty. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (3 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Xoma Royalty (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

Xoma Royalty



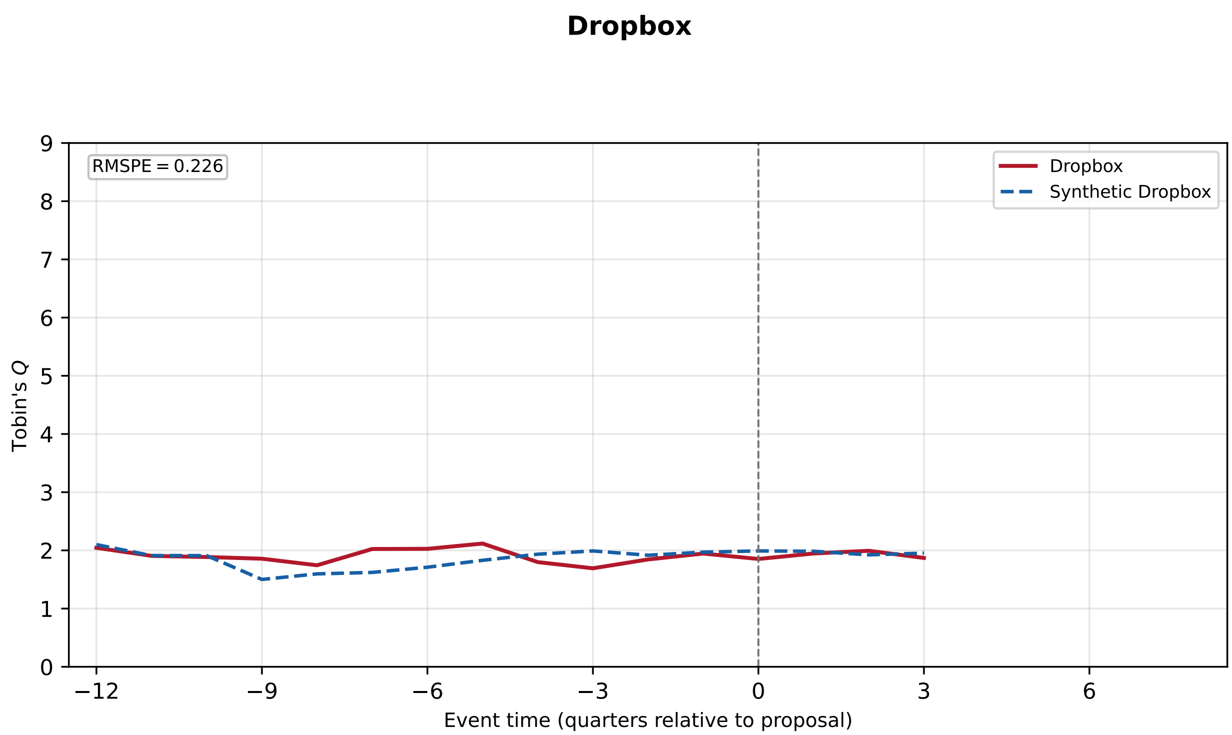
Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	0.597	0.597
Q (last pre)	0.685	0.684
log_sale	0.783	0.787
rd_at	0.002	0.043
roa	-0.035	-0.047

Donor portfolio

Donor company	Weight
Vaxart Inc	11.2%
Natural Alternatives	11.2%
Gevo Inc	10.5%
Corvus Pharmaceuticals Inc	10.2%
Organogenesis Holdings Inc	10.1%
Orasure Technologies Inc	9.8%
Medicinova Inc	9.7%
Viatris Inc	8.5%
Cardiff Oncology Inc	6.5%
Integrated Biopharma Inc	6.1%

Figure A.D.6: Dropbox. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (4 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Dropbox (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.



Covariate balance

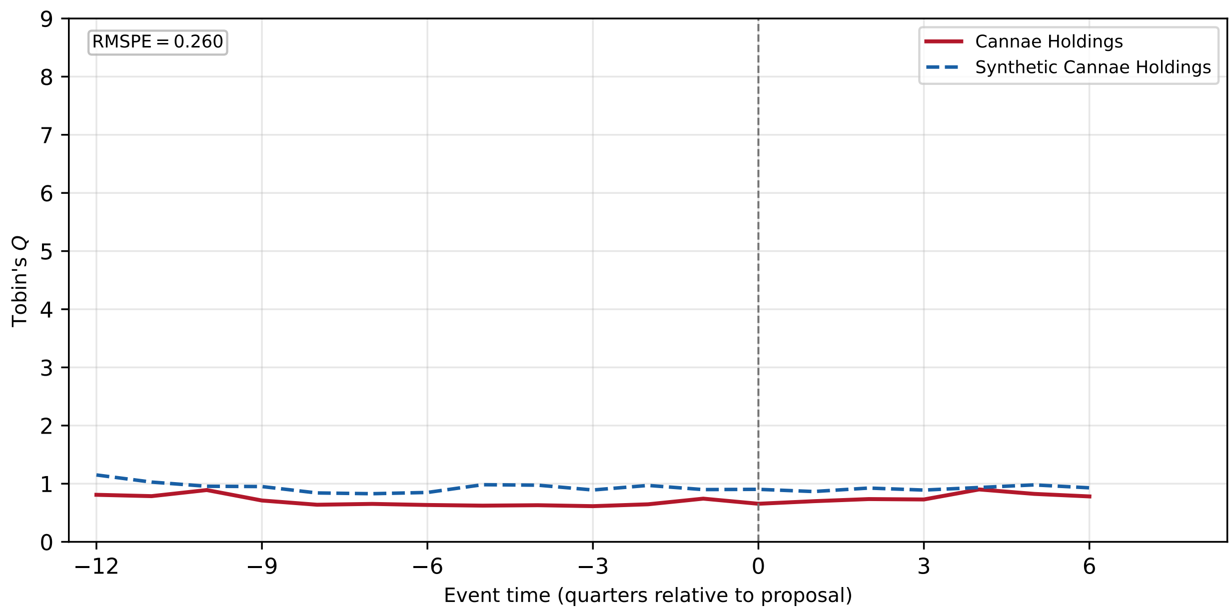
Covariate	Treated	Synthetic
Q (pre-mean)	1.907	1.833
Q (last pre)	1.946	1.970
log_sale	6.420	5.623
rd_at	0.079	0.047
roa	0.040	0.002

Donor portfolio

Donor company	Weight
Alarm.Com Holdings Inc	69.7%
Nutanix Inc	30.3%

Figure A.D.7: Cannae Holdings. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (7 post-quarters); the pool contains 19 eligible donors (SIC2 match). The top panel shows Cannae Holdings (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

Cannae Holdings



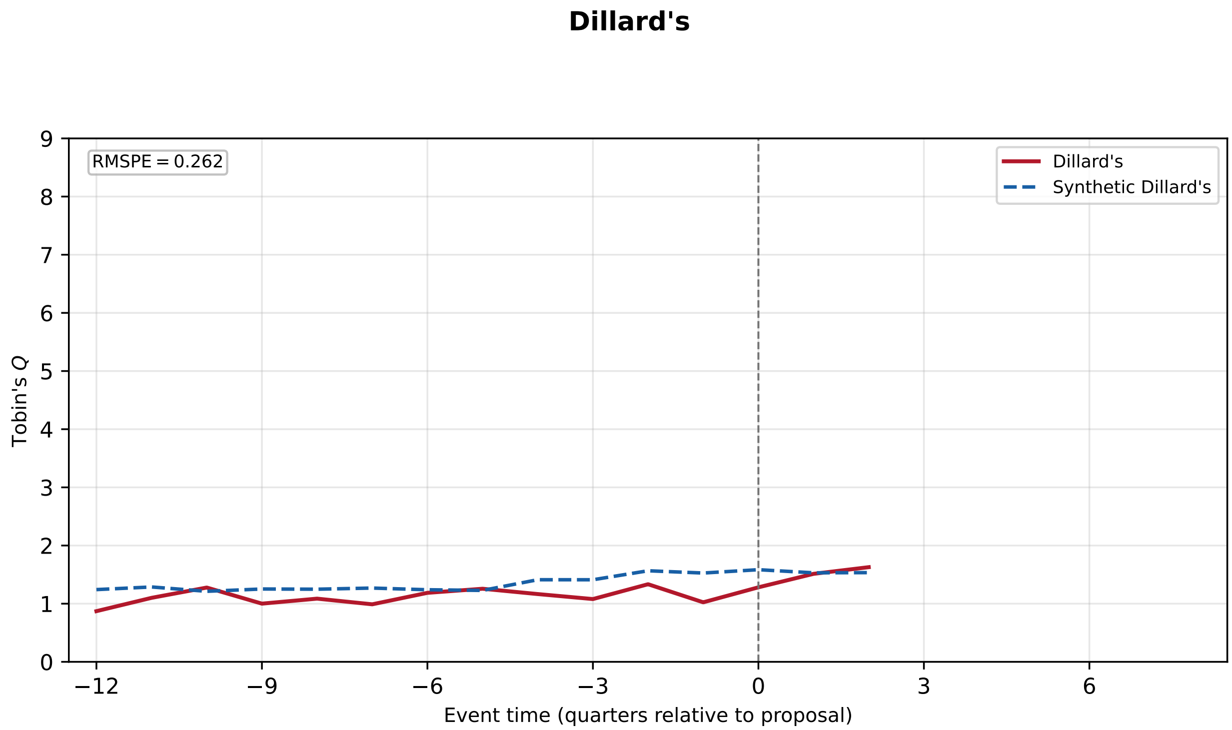
Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	0.698	0.943
Q (last pre)	0.743	0.899
log_sale	5.058	5.745
rd_at	0.000	0.000
roa	-0.010	-0.010

Donor portfolio

Donor company	Weight
Red Robin Gourmet Burgers	100.0%

Figure A.D.8: Dillard's. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (3 post-quarters); the pool contains 5 eligible donors (SIC2 match). The top panel shows Dillard's (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.



Covariate balance

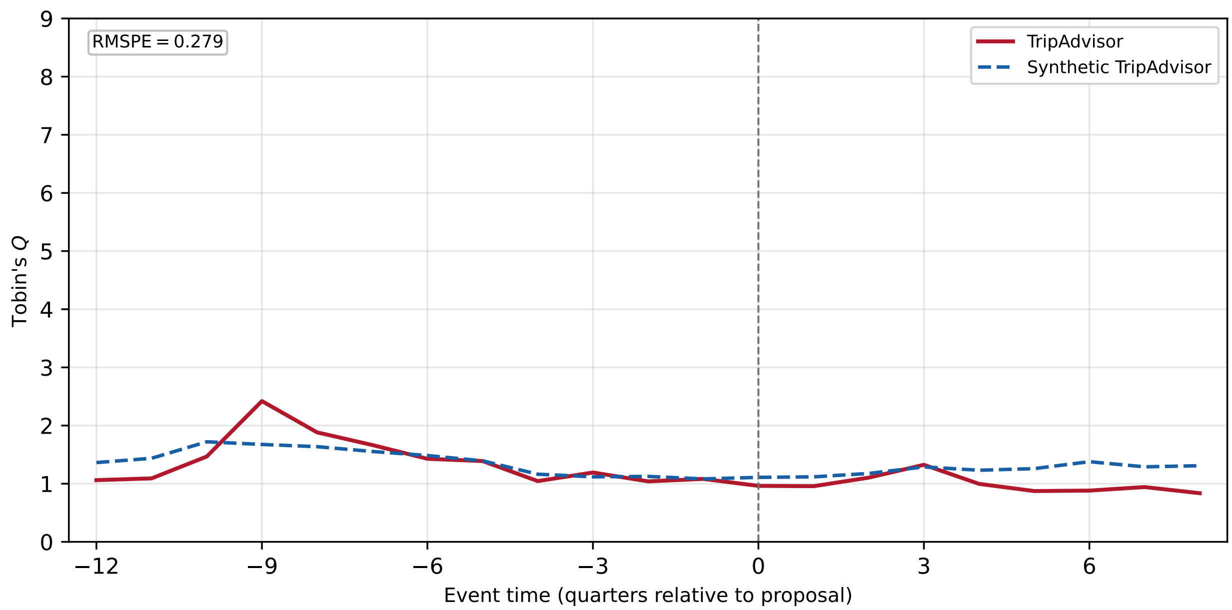
Covariate	Treated	Synthetic
Q (pre-mean)	1.114	1.325
Q (last pre)	1.024	1.527
log_sale	7.427	8.500
rd_at	0.000	0.000
roa	0.061	0.024

Donor portfolio

Donor company	Weight
Pricesmart Inc	20.0%
Walmart Inc	20.0%
Bjs Whsl Club Hldgs Inc	20.0%
Macy'S Inc	20.0%
Ollie'S Bargain Outlet Hld	20.0%

Figure A.D.9: TripAdvisor. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (9 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows TripAdvisor (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

TripAdvisor



Covariate balance

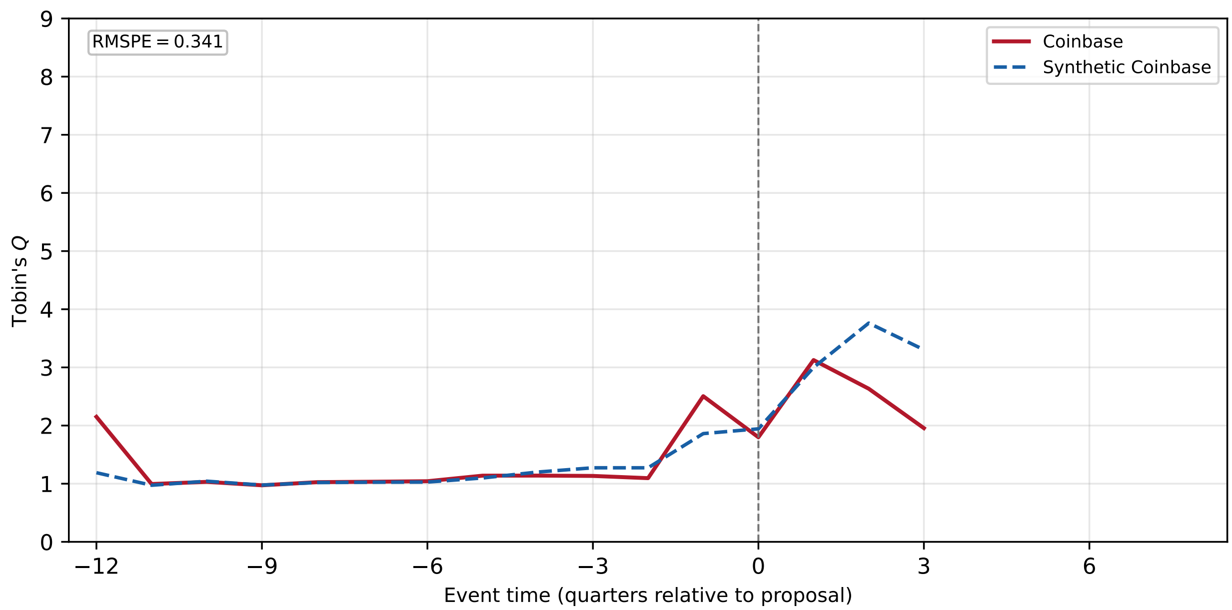
Covariate	Treated	Synthetic
Q (pre-mean)	1.397	1.396
Q (last pre)	1.082	1.082
log_sale	5.403	5.404
rd_at	0.000	0.000
roa	-0.013	-0.013

Donor portfolio

Donor company	Weight
Realreal Inc (The)	17.7%
Repay Holdings Corp	17.6%
Sabre Corp	10.0%
Asgn Inc	9.5%
Herc Holdings Inc	8.1%
Korn Ferry	7.7%
Arena Group Hldngs Inc (Th	4.8%
Parsons Corp	4.2%
System1 Inc	4.0%
United Rentals Inc	3.2%

Figure A.D.10: Coinbase. The donor pool consists of Delaware-incorporated stayers in the same two-digit SIC with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (4 post-quarters); the pool contains 40 eligible donors (SIC2 match). The top panel shows Coinbase (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

Coinbase



Covariate balance

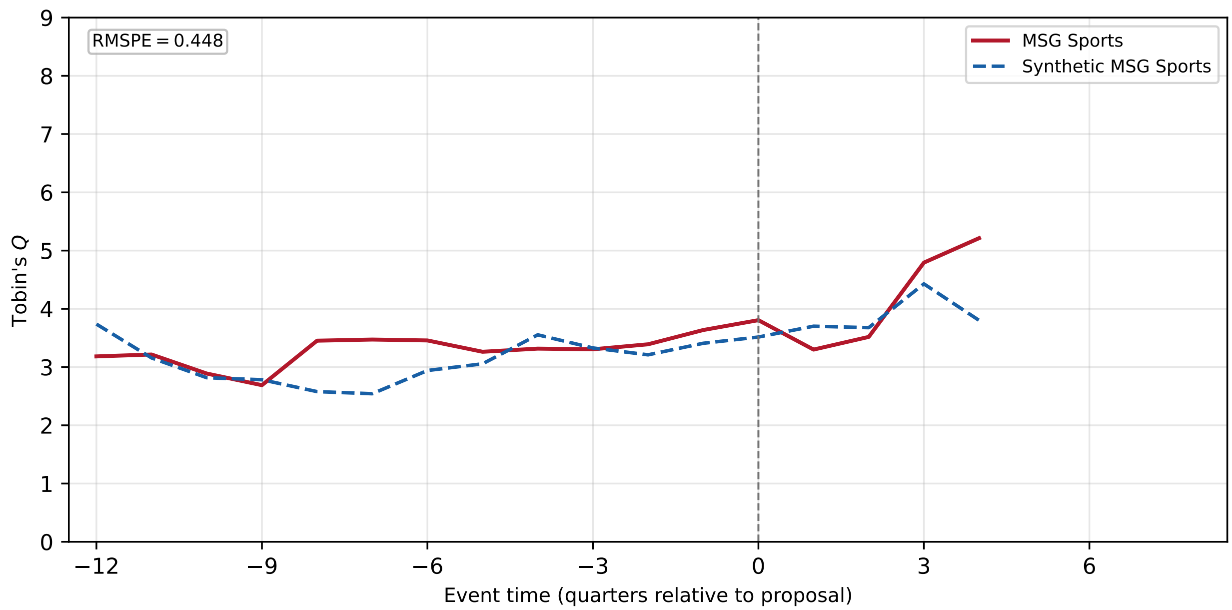
Covariate	Treated	Synthetic
Q (pre-mean)	1.272	1.164
Q (last pre)	2.505	1.861
log_sale	6.889	6.196
rd_at	0.006	0.003
roa	0.002	-0.000

Donor portfolio

Donor company	Weight
Robinhood Markets Inc	100.0%

Figure A.D.11: MSG Sports. The donor pool consists of Delaware-incorporated stayers in the same one-digit SIC (the donor pool was expanded from the two-digit SIC because that fit was poor) with data for every quarter the reincorporating firm has. Matching is on log sales, R&D/assets, ROA, the pre-window average q, and the q in the final pre-proposal quarter, over 12 pre-proposal quarters (5 post-quarters); the pool contains 19 eligible donors (SIC1 match). The top panel shows MSG Sports (solid line) against its synthetic control (dashed line) in event time, with pre-fit RMSPE reported in the top-left corner. The panels below report covariate balance and the donor portfolio weights.

MSG Sports



Covariate balance

Covariate	Treated	Synthetic
Q (pre-mean)	3.272	3.093
Q (last pre)	3.636	3.408
log_sale	5.126	7.216
rd_at	0.000	0.003
roa	0.021	0.025

Donor portfolio

Donor company	Weight
Broadridge Financial Solut	91.0%
Zscaler Inc	9.0%